

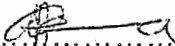
FOREWORD

The demand for skills and knowledge and the requirements to adjust with changing requirements in the world of work, places the need for continual learning throughout life. Due to a significant number of candidates who fail principles of accounts at ordinary level many teachers are forced to look for appropriate examination guides in order to adequately prepare their candidates for examinations.

It has been discovered that the main causes of failure in principles of accounts is that many candidates fail to understand and interpret the requirements of the questions. It is against this background that the authors have found the need to compile examination guides which presents past exam questions from zimsec and tried to come up with suggested solutions so that through constant practice pupils are well polished for both internal and external examinations.

It is our hope and prayer that these guides will go a long way in helping the Zimbabwean pupil to achieve the desired results and also contribute to the ZIM-ASSET model where Zimbabweans are encouraged to make a leverage out of the internal resources for economic emancipation.

Signature.......... N Makumbe

Signature.......... A.R. Nyika



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS
PAPER 1

7112/1

JUNE 2012 SESSION

3 hours

Additional materials:

Answer paper

Multi-column accounting paper (8 sheets)

TIME 3 hours

INSTRUCTIONS TO CANDIDATES

Write your name, Centre number and candidate number in the spaces provided on the answer paper.

Answer **all** questions in Section A and any **two** questions from Section B.

Write your answers on the separate answer paper provided.

Start each question on a separate page.

If an answer extends beyond one sheet, all the sheets for that question must be kept together.

All calculations must be shown adjacent to the answer.

Calculators must not be used.

If you use more than one sheet of paper, fasten the sheets together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

This question paper consists of 8 printed pages.

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Section A

Answer all questions in this section.

- 1 D. Mwase runs a retail business with two departments, Furniture and Electrical. The following information was extracted from his books on 31 December 2010:

Trial Balance as at 31 December 2010.

	Debit \$	Credit \$
Sales: Furniture		706 000
Electrical		917 040
Purchases: Furniture	300 000	
Electrical	350 000	
Stock(Inventory) at 1 January 2010:		
Furniture	130 000	
Electrical	200 000	
Customs duty on electrical goods	58 000	
Railage inwards: Furniture	66 000	
Electrical	24 000	
Returns inwards: Electrical	28 040	
Rent	76 400	
Debtors(Trade receivables) and creditors(trade payables)	154 000	46 140
Provision for bad debts, 1 January 2010		5 000
Wages and salaries	237 600	
Office equipment at cost	48 000	
Motor vehicles at cost	219 600	
Provision for depreciation:		
Office equipment		9 600
Motor vehicles		21 960
Capital		444 000
Bank	110 420	
Insurance	33 000	
Discount received		9 000
Sundry expenses	112 000	
Drawings	11 680	
	<u>2 158 740</u>	<u>2 158 740</u>

The following information is also available on 31 December 2010:

- (i) Stock(Inventory) at 31 December 2010: Furniture \$120 000.
Electrical \$ 98 000.
- (ii) Rent accrued on 31 December 2010 amounted to \$3 600.
- (iii) Insurance paid covers 15 months to 31 March 2011.

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- (iv) The provision for bad debts is to be adjusted to 3% of debtors (trade receivables).
- (v) Motor vehicles are to be depreciated at 10% per annum on cost.
- (vi) Office equipment is to be depreciated at 20% per annum using reducing balance method.

You are required to prepare:

- (a) the Departmental Trading Account for the year ended 31 December 2010, in **columnar form**, showing clearly the gross profit for **each** department. [8]
 - (b) the **combined** Profit and Loss Account for the year ended 31 December 2010, [7]
 - (c) the Balance Sheet (Statement of financial position) as at 31 December 2010. [12]
2. On 1 January 2010, S. Tawana had the following balances in her nominal ledger:

Rent received	\$ -5 000 Cr
Stationery	\$12 000 Dr

S. Tawana sublets part of her business premises at an annual rental of \$30 000.

During the year, the following transactions took place:

2010

- March 31 Received cash of \$12 500 for rent. ✓
- April 2 Bought stationery by cheque of \$35 000.
- June 5 Purchased stationery worth \$20 000 on credit from Takunda Books.
- June 8 Returned damaged stationery worth \$8 000 to Takunda Books.
- June 30 Received a cheque of \$6 000 for rent. ✓
- September 30 Received \$9 000 rent in cash. ✓

On 31 December 2010, the stock of unused stationery was valued at \$4 000.
S. Tawana's financial year ends on 31 December.

You are required to prepare:

- (a) (i) the Rent Received Account,
- (ii) Stationery Account. [13]

Pay special attention to **dates and details**.

- (b) State where exactly in the Balance Sheet (Statement of financial position) of S. Tawana would the balances in the following accounts on 31 December 2010 be found:

- (i) the Rent Received Account,
- (ii) the Stationery Account.

[2]

- 3 B. Wiseman prepared a trial balance for his business on 30 June 2010 and the totals failed to agree. He opened a Suspense Account with a debit balance of \$260.

The following errors were later discovered:

- (i) Purchases day book had been undercast by \$200.
- (ii) An invoice to P. Panashe for \$400 had been correctly entered in the sales day book, but had been omitted in the debtor's account.
- (iii) Wiseman's private rent of \$100 had been debited to Rent Account.
- (iv) An amount of \$150 for damaged goods returned to T. Peters, a creditor, had been correctly entered in the supplier's account but entered on the wrong side of the Returns Outwards Account.
- (v) Cash discount received from a supplier of \$20 had been debited to the Discount Allowed Account.

You are required to:

- (a) prepare journal entries to correct the above errors,
(Narrations are not required).

[12]

- (b) complete the Suspense Account,

[3]

- (c) calculate the correct net profit for the half year ended 30 June 2010 after correction of the above errors. Original net profit was \$5 500.

[3]

- 4 Write down the word(s) or figure(s) required to complete each of the following sentences.

Do not write the whole sentence.

- (a) In the books of a non-profit making organisation, capital is replaced by reserves.
- (b) In a manufacturing firm, cost of production is made up of cost of raw materials used, direct labour and direct expenses.
- (c) If a payment by cheque of \$506 for electricity is recorded in error in both Bank Account and Electricity Account as \$5 064, this is an error of \$4 558.

- (d) Cost of transporting new machinery to be used in the business is
(i) _____ expenditure whereas cost of repairing the machinery after one month's use is (ii) _____ expenditure.
- (e) Goodwill occurs when the (i) _____ of a business exceeds the value of net (ii) _____ taken over.
- (f) In the books of a partnership business, goods taken by a partner for own use are entered on the _____ side of the Current Account.
- (g) A _____ statement is drawn up to make the cash book bank transactions agree with the transactions compiled by the bank.
- (h) A business has total fixed(non-current) assets of \$100 000, current assets \$60 000 [including stock(inventory) \$15 000], current liabilities \$30 000, and long-term loan \$20 000. The current ratio is (i) _____ and the quick ratio is (ii) _____.
- (i) Given that the opening capital is \$30 000, closing capital \$40 000 and drawings \$9 000, the net profit is \$ _____.
- (j) A document issued to the business for a fixed (non-current) asset bought on credit is known as the (i) _____ and the transaction for the fixed (non-current) asset is first recorded in the (ii) _____.

[14]

6
Section B

Answer any **two** questions from this section.

- 5** J.B Khumalo Ltd had the following details extracted from its books for the year ended 31 December 2010:

Authorised Capital

1 400 000 Ordinary shares of 50 cents each	\$700 000
200 000 8% Preference shares of \$1 each	\$200 000

Issued Capital

1 000 000 Ordinary shares of 50 cents each, fully paid	\$500 000
200 000 8% Preference shares of \$1 each, fully paid	\$200 000
3 000 10% Debentures of \$50 each	\$150 000

Reserves on 1 January 2010

General Reserve	\$ 30 000
Profit and Loss Account	\$ 12 000 Cr

Net Profit for the year was \$165 000 before allowing for debenture interest. An interim dividend of 2 cents per ordinary share was paid during the year.

The directors recommended that :

- (i) the general reserve be increased by \$10 000.
- (ii) a full year's dividend be allowed for preference shareholders.
- (iii) a final dividend of 5% on ordinary share capital be paid.

You are required to prepare:

- (a) the Profit and Loss Appropriation Account for the year ended 31 December 2010, [6]
- (b) the Balance Sheet (Statement of financial position) extract showing the total shareholders' funds. [7]

- 6 Kuwirirana Social Club was formed on 1 January 2010. On 31 December 2010, the treasurer presented the following Receipts and Payments Account :

The Receipts and Payments Account for the year ended 31 December 2010

Receipts	\$	Payments	\$
Accumulated fund	12 000	Rent for Clubhouse	6 500
Subscriptions	3 000	Purchases of raffle prizes	8 000
Sale of raffle tickets	15 000	Stationery	1 400
Donations	10 500	Postage and telephone	600
		Rates	1 000
		Insurance	2 000
		Purchase of furniture	4 000
		Balance c/d	17 000
	<u>40 500</u>		<u>40 500</u>

The treasurer reported that:

- (i) subscriptions owing from members at 31 December 2010 amounted to \$1 900,
- (ii) insurance is charged at \$150 per month,
- (iii) furniture is to be depreciated by 10%.

Prepare the Income and Expenditure Account for the year ended 31 December 2010. [13]

7 The following information was obtained from the books of G. Ngulube for August 2010:

		\$
2010 August 1	Debtors' (Trade receivables) balance	5 600 Dr
	Creditors' (Trade payables) balance	1 700 Cr
2010 August 31	Credit sales	40 000
	Credit purchases	24 000
	Cash purchases	7 000
	Returns outwards	200
	Returns inwards	100
	Cheques and cash received from debtors	37 000
	Cheques paid to creditors	16 000
	Customers' cheques dishonoured	2 500
	Discount allowed	400
	Discount received	350
	Interest charged to customers on overdue accounts	130
	Amounts settled by contra	2 300
	Cash refund from suppliers for overpayments	60
	Bad debts written off	800
	Provision for bad debts	1 610
	Debit balances in the purchases ledger	40
	Credit balances in the sales ledger	70

(a) You are required to prepare for the month of August 2010:

(i) Sales Ledger Control Account,

(ii) Purchases Ledger Control Account.

[11]

(b) State **two** advantages of preparing control accounts.

[2]

JUNE 2012

POSSIBLE ANSWERS 7112/1

1(a) Departmental trading account for the year ended 31 december 2010

	Furniture \$		Electricity	
Sales		706000		917040
less returns inwards				(28040)
				889000
less Cost of sales				
opening stock		130000		2000000
Purchases	300000		350000	
customs duty			58000	
Railage inwards	66000	366000	24000	432000
		496000		632000
less closing stock		(120000)		(98000)
cost of sales		(376,000)		(534000)
Gross Profit		330000		355000

[8marks]

1(b) Profit and loss account for the year ended 31 december 2010

Gross Profit	(330000+355000)		685000
add Income discount received		9000	
decrease in provision for bad debts		380	9380
			694380
Less Expenses:			
rent	76400+3600	80000	
wages and salaries		237600	
sundry expenses		112000	
Insurance	33000-6600	26400	
dep: office equipment		7680	
motor vehicles		21960	485740
NET PROFIT			208740

1(ii) Statement of financial position/Balance sheet as at 31 december 2010

Non- current assets	Cost	acc dep	NBV
motor vehicles	219600	43920	175680
office equipment	48000	17280	30720
			206360
Current Assets			
stock	120000+98000	218000	
trade receivables	154000		
less provision for bad debts	(4620)	149380	
Bank		110420	
Prepaid Insurance		6600	484 400
TOTAL ASSETS			690800
EQUITY AND LIABILITIES			
EQUITY			
Capital			444000
add Net profit			208840
			652740
less drawings			(11680)
LIABILITIES			641060
Current liabilities			
Trade payables		46140	
accrued rent		3600	49740
TOTAL EQUITY AND LIABILITIES			690800

[12marks]

2(a)

dr		Rent account		cr	
2010			2010		
31-Dec	balance c/d	28000	jan-1	balance b/d	5000
			marc-31	cash	12500
			jun-30	Bank	6000
		<u>28000</u>	sept-30	Cash	<u>9000</u>
					<u>28000</u>

dr		Stationery account		cr	
2010			2010		
jan 1	balance b/d	12000	June 8	Returns outwards	8000
April 2	Bank	35000	dec31	income statement	55000
June 5	Takunda books	20000		Balance c/d	4000
		<u>67000</u>			<u>67000</u>
	balance b/d	4000			

b(i) current liabilities

(ii) current assets

3(a) journal entries

		Debit\$	Credit\$
purchases		200	
	suspense		200
P Panashe		400	
			400
Drawings		100	
	Rent account		100
Suspense		300	
	Returns outwards		300
Suspense		40	
	Discount received		20
	Discount allowed		20

[12marks]

3(b)

dr		Suspense account		cr	
trial balance difference	260	Purchases		200	
returns outwards	300	D Panashe		400	
Discount received	20				
Discount allowed	<u>20</u>				
	<u>600</u>				<u>600</u>

[3marks]

3(c)

Statement of corrected net oprofit

net profit before adjustments	5500
Purchases	(200)
Rent	100
Purchases Returns	150
Discount received	40
corrected net profit	<u>5590</u>

4(a) Accumulated fund

(b) Prime Cost

(c) Original entry

(e) (i) Purchase Price (ii) Assets

(f) Debit side

- (d i) Capital Expenditure (g) Bnk reconciliation statement
(ii) Revenue expenditure (h i) 2 (ii) 1,5:1
(l) \$19000
(j i) Invoice (ii) General journal

5(a) Profit and loss appropriation account for the year ended 31 december 2010

Net profit before interest		165000
less debenture interest (10% x 150000)		(15000)
		150000
less Transfer to general reserves	10000	
add Dividends paid and proposed		
Preference: Interim	16000	
Ordinary: Interim	10000	
Final	25000	(61000)
		89000
add Retained earnings b/d		12000
Retained earning c/d		101000

5(b) statement of financial position(balance sheet) extract as at 31 decemer 2010

Authorised share capital		
1400000 ordinary share of \$0.50 each		700000
200000 8% preference shares of \$1 each		200000
		900000
Issued share capital		
1000000 ordinary shares of \$0.50 each, fully paid		500000
200000 8% preference shares of 1\$ each, fully paid		200000
		700000
Reserves		
General reserves (30000+10000)	40000	
add Retained earnings	101000	141000
Non-current liabilities		
300000 10% Debentures		300000
		1141000

6 Income and expenditure account for the year ended 31 december 2010

INCOME		
Subscription		4900
sale of raffle tickets	15000	
less cost of raffle tickets	(8000)	7000
Donations		10500
		22400
EXPENDITURE		
Stationery	1400	
rent for club house	6500	
postages and telephone	600	
rates	1000	
insurance	1800	
Depreciation: Furniture	400	11700
surplus of income over expenditure		10700

7(a)

dr	Sales ledger control account		cr
balance b/d	5600	returns inwards	100
credit sales	40000	discount allowed	400
dishonoured cheques	2500	sett off	2300
interest charges	130	bad debts	800
		cheques from debtors	37000

balance c/d	<u>70</u>	balance c/d	<u>7700</u>
	<u>48300</u>		<u>48300</u>
balance b/d	7700	balance b/d	70

dr		Purchases ledger control account		cr
returns outwards	200	balance b/d		1700
Discount received	350	Credit purchases		24000
setts off	2300	Cash Refunds		60
cheques paid	16000			
balance c/d	<u>6950</u>	balance c/d		<u>40</u>
	<u>25800</u>			<u>25800</u>
balance b/d	40	balance b/d		6950

- 7(b) - to check arithmetical errors
 - deter fraud
 - to calculate credit sales and credit purchases

[2marks]



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS
PAPER 1

7112/1

NOVEMBER 2012 SESSION

3 hours

Additional materials:
Answer paper
Multi-column accounting paper (8 sheets)

TIME 3 hours

INSTRUCTIONS TO CANDIDATES

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[Turn over

6
Section B

Answer any **two** questions from this section.

- 5 The following are extracts from the Cash Book and the Bank Statement of Batanai Supermarket.

Cash Book (Bank Columns)					
2008			2008		
		\$			\$
October 1	Balance b/d	1 300	October 5	Purchases	2 050
4	B. Bara	450	12	City Council	1 600
8	C. Calvin	600	16	Zesa	800
17	S. Sarawoga	325	23	Insurance	950
22	L. Limo	550	26	Purchases	2 500
27	G. Gara	375			
31	Balance c/d	<u>4 300</u>			
		<u>7 900</u>			<u>7 900</u>
			November 1	Balance b/d	4 300

Bank Statement				
DATE	DETAILS	DEBIT	CREDIT	BALANCE
2008		\$	\$	\$
Oct 1	Balance			1 300
4	Deposit		450	1 750
5	0031	2 050		300 O/D
8	Deposit		600	300
12	0032	1 600		1 300 O/D
17	Deposit		325	975 O/D
22	Deposit		550	425 O/D
23	0034	950		1 375 O/D
31	Interest on bank overdraft	235		1 610 O/D
	Dividends		715	895 O/D
	Ledger fees	305		1 200 O/D

You are required to:

- (a) update the Cash Book, [5]
- (b) draw up the Bank Reconciliation Statement on 31 October 2008. [8]

- 6 T. Tsungai operates a hair salon in Kwekwe. Her business made a gross profit of $33\frac{1}{3}\%$ on the net sales of \$750 000 during the financial year which ended on 31 December 2010. The net profit was 15% of net sales. The rate of stock turnover was 10 times. The opening stock was \$60 000.

Calculate, for the year,

- (a) the gross profit, [2]
- (b) cost of sales, [2]
- (c) the mark-up, [2]
- (d) the closing stock, [3]
- (e) purchases, [2]
- (f) expenses. [2]

- 7 S. Sinyoro prepared the following trial balance from his ledger balances on 30 June 2008. Unfortunately, the totals disagreed and a suspense account had to be opened for the difference.

Trial Balance on 30 June 2008

	Debit \$	Credit \$
Capital, 1 July 2007		89 600
Drawings	60 800	
Debtors	66 000	
Cash at hand	29 896	
Fixtures and fittings	33 600	
Stock, 1 July 2007	46 920	
Creditors		22 160
Sales		776 960
Purchases	606 400	
Sundry expenses	47 200	
Suspense		2 096
	<u>890 816</u>	<u>890 816</u>

After investigation, the following errors were discovered and, when the necessary corrections were done, the Suspense Account balance was eliminated.

- (i) Sinyoro's private expenses of \$2 400 had been debited to Sundry Expenses.

- (ii) A sale to D. Dennis of \$1 576 was entered correctly in the Sales Day Book but was wrongly posted to Dennis' account as \$1 432.
- (iii) A banker's order (standing order) for \$1 200 for payment of an insurance premium had been posted to the wrong side of the bank account but correctly posted to the Insurance Account.
- (iv) The Purchases Day Book had been undercast by \$1 600.
- (v) A Purchases Ledger credit balance of \$1 440 for W. Wedzera had been omitted from the Trial Balance figure.

You are required to:

- (a) prepare the Suspense Account, [3]
- (b) prepare the Trial Balance as it would appear after the correction of all the above errors, [7]
- (c) state any **three** errors which are not revealed by a trial balance. [3]

November 2012

Possible answers 7112/1

1(a) Trading profit and loss account for the year ended 30 June 2009

Sales			359260
less cost of sales			
opening inventory(finished goods)		26020	
add cost of goods manufactured		239640	
		265660	
less closing inventory(finished goods)		(24764)	
cost of goods sold			(240896)
Gross profit			118364
add: discount received			280
			118644
less Operating Expenses			
Bad debts	(1042+200)	1242	
General expenses		2000	
Advertising		3036	
Rates		12966	
Salaries	(35400+600)	36000	
Insurance	(1500-300)	1200	
Interest on loan		1000	
depreciation: delivery vans	(180000-33200) 20%	29360	
Increase in provision for bad debts		534	
Total expenses			(87338)
NET PROFIT			31306

[11 marks]

1(b) Statement of financial position as at 30 June 2009

	COST	ACC DEP	NBV
Non-current assets			
Premises	528000	-	528000
Machinery	33250	6050	27200
Delivery Vans	180000	62560	117440
			672640
Current assets			
inventory: Raw materials	8360		
Work in progress	3560		
Finished goods	24764	36684	
Petty cash		482	
Accounts receivables(Debtors)	29200		
less provision for bad debts	(1460)	27740	
Prepaid Insurance		300	
TOTAL ASSETS			65206
			737846
EQUITY AND LIABILITIES			
EQUITY			
Capital			669140
add Net profit			31306
			700446
less Drawings			(12200)
			688246
Non-current liabilities			
loan			20000
Current liabilities			
accounts payables(creditors)		10000	
Bank overdraft		18000	
Acruals: Salaries	600		
loan interest	1000	1600	
TOTAL EQUITY AND LIABILITIES			29600
			737846

[14 marks]

2a (i) It represents balance of unused materials brought forward from the previous year.[1]

(ii) \$1350 [1]

(iii) on 31 march the payment was made through cheque whilst on 31 December the payment was through cash. [2]

(iv) 30 june 2008, bought packaging materials on credit from Grand Suppliers [1]

(v) packaging materials returned to Grand Suppliers [1]

(vi) Current Assets [1]

b(i) Cash book [1]

(ii) General journal [1]

(iii) General Journal [1]

(iv) Cash book [1]

(v) Petty Cash day book [1]

(c)		B. Batas Account			
dr				cr	
2008		\$		\$	
jun-8	Bank	6250	balance b/d	6400	
	Discount Allowed	150	Purchases	3000	
25	Purchases returns	300			
30	balance c/d	2700			
		<u>9400</u>		<u>9400</u>	[6 marks]
			balance b/d	2700	

3(a) working Capital = current Assets - current liabilities
 $= 34000 + 58000 + 53000 - (43500 + 4500 + 7000)$
 $= 145000 - 55000$
 $= \$90000$ [3 marks]

b(i) No effect (ii) Decrease (iii) Decrease
 (v) Increase (iv) Increase
 [3 marks]

3(c) statement of financial position (Balance sheet) as at 31 december 2010				
Non-current assets			\$	\$
Premises	(800000+20000)			820000
Equipment				150000
				<u>970000</u>
Current Assets				
stock	(34000+15000-4800)	44200		
Trade debtors	(58000-5000)	53000		
cash at bank	(53000+60000+5000-20000)	98000		195200
TOTAL ASSETS				<u>1165200</u>
EQUITY AND LIABILITIES				
EQUITY				
Capital	(950000+7000)			957000
less Drawings				(4800)
				<u>952200</u>
Non current liabilities				
Loan	90000+60000			150000
Current liabilities				
Trade creditors	(43500+15000)	58500		
expense creditots (see note below)		4500		63000
TOTAL EQUITY AND LIABILITIES				<u>1165200</u>

[11 marks]

4(a) (i) owners b(i) non-current (iii) expenses
 (ii) creditors (ii) capital (iv) revenue
 c) credit d) debit e) assets f) current
 g) straight line (hii) credit h(ii) asset l) commission
 [14 marks]

5(a)		updated cash book			
2008		\$	2008	\$	
oct 1	balance b/d	1300	oct 5	Purchases	2050
4	B. Bara	450	12	City council	1600

8	C. Calvin	600	16	Zesa	800
17	S. Sarawoga	325	23	Insurance	950
22	L. Limo	550	26	Purchases	25000
27	G. Gara	375	31	interest on bank	235
31	Dividends	715		ledger fees	305
	balance c/d	4125			
		8440			8440
			Nov 1	Balance b/d	4125

[5 marks]

5(b)

Bank reconciliation statement on 31 October 2008

Balance as per cash overdraft	\$ 4125
add: uncredited cheques	375
	4500
less: unrepresented cheques	(2500)
	2000
less: Zesa(not presented to the bank)	(800)
balance as per bank overdraft	1200

[8 marks]

SECTION B

6 (a) gross profit = $\frac{1}{3} \times 750000$

(b) cost of sales

=

sales-gross profit

= **\$250000 [2 marks]**

=

750000-250000

=

\$500000 [2 marks]

C) Mark up = $\frac{\text{gross profit}}{\text{cost of sales}} \times 100$

= $\frac{250000}{500000} \times 100$

= **50% [2 marks]**

(d) closing stock =

stock turn = $\frac{\text{cost of sales}}{\text{average stock}}$

= $\frac{500000}{2}$

(e) Purchases = cost of sales + closing stock - opening stock

= 500000 + 40000 - 60000

= **\$480000 [2 marks]**

$\frac{\text{closing stock} + \text{opening stock}}{2}$

= $\frac{500000}{2}$

$\frac{60000 + x}{2}$

(f) Expenses = Gross profit - Net profit

= 250000 - 112500

= **\$137500 [2 marks]**

x = 40000

thus closing stock = **\$40000 [3 marks]**

7(a)

Journal entries

		debit\$	credit\$
i	drawings	2400	
	sundry expenses		2400
ii	D. Dennis	144	
	Suspense		144
iii	Suspense	2400	
	Bank		2400
iv	Purchases	1600	
	suspense		1600
v	suspense	1440	
	W Wedzera		1440

Note: no marks for journal entries in this question, there are there to guide you how to prepare the suspense account.

dr		suspense account		cr	
bank	2400	balance as per trial b		2096	
w wedze	1440	purchases		1600	
		D. Dennis		144	
	3840			3840	

[3 marks]

7(b) Corrected trial balance

	debit\$	credit\$
Capital, 1 July 2007		89600
Drawings (60800+2400)	63200	
Debtors (66000+144)	66144	
Cash at hand	29896	
Fixtures and fittings	33600	
stock, 1 July 2007	46920	
Creditors (22160+1440)		23600
Sales		776960
Purchases (606400+1600)	608000	
Sundry expenses (47200-2400)	44800	
Bank		2400
	892560	892560

[7 marks]**7(c) error of omission**

error of original entry
error of completely reversal
transposition error
error of principle
error omission

[3 marks]



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL

General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS

7112/1

PAPER 1

SPECIMEN PAPER

JUNE 2013 ONLY 3 hours

Additional materials:

Answer paper

Multi-column accounting paper (8 sheets)

TIME 3 hours

INSTRUCTIONS TO CANDIDATES

Write your name, Centre number and candidate number in the spaces provided on the answer paper.

Answer **all** questions in Section A and any **two** questions from Section B.

Write your answers on the separate answer paper provided.

Start each question on a separate page.

If an answer extends beyond one sheet, all the sheets for that question must be kept together.

All calculations must be shown adjacent to the answer.

Calculators must not be used.

If you use more than one sheet of paper, fasten the sheets together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

This question paper consists of 8 printed pages.

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[Turn over

Section A

Answer all questions in this section.

For
Examiner's
Use

- 1 D. Mwase runs a retail business with two departments, Furniture and Electrical. The following information was extracted from his books on 31 December 2010:

Trial Balance as at 31 December 2010.

	Debit \$	Credit \$
Sales: Furniture		706 000
Electrical		917 040
Purchases: Furniture	300 000	
Electrical	350 000	
Stock(Inventory) at 1 January 2010:		
Furniture	130 000	
Electrical	200 000	
Customs duty on electrical goods	58 000	
Railage inwards: Furniture	66 000	
Electrical	24 000	
Returns inwards: Electrical	28 040	
Rent	76 400	
Debtors(Trade receivables) and creditors(trade payables)	154 000	46 140
Provision for bad debts, 1 January 2010		5 000
Wages and salaries	237 600	
Office equipment at cost	48 000	
Motor vehicles at cost	219 600	
Provision for depreciation:		
Office equipment		9 600
Motor vehicles		21 960
Capital		444 000
Bank	110 420	
Insurance	33 000	
Discount received		9 000
Sundry expenses	112 000	
Drawings	11 680	
	<u>2 158 740</u>	<u>2 158 740</u>

The following information is also available on 31 December 2010:

(i)	Stock(Inventory) at 31 December 2010:	Furniture	\$120 000.
		Electrical	\$ 98 000.

Centre Number

Candidate's Number

3

- (iv) The provision for bad debts is to be adjusted to 3% of debtors (trade receivables).
- (v) Motor vehicles are to be depreciated at 10% per annum on cost.
- (vi) Office equipment is to be depreciated at 20% per annum using reducing balance method.

You are required to prepare:

- (a) the Departmental Trading Account for the year ended 31 December 2010, in **columnar form**, showing clearly the gross profit for **each** department.

Centre Number

Candidate's Number

2

Section A

Answer all questions in this section.

For
Examin
Use

- 1 D. Mwase runs a retail business with two departments, Furniture and Electrical. The following information was extracted from his books on 31 December 2010:

Trial Balance as at 31 December 2010:

	Debit \$	Credit \$
Sales: Furniture		706 000
Electrical		917 040
Purchases: Furniture	300 000	
Electrical	350 000	
Stock(Inventory) at 1 January 2010:		
Furniture	130 000	
Electrical	200 000	
Customs duty on electrical goods	58 000	
Railage inwards: Furniture	66 000	
Electrical	24 000	
Returns inwards: Electrical	28 040	
Rent	76 400	
Debtors(Trade receivables) and creditors(trade payables)	154 000	46 140
Provision for bad debts, 1 January 2010		5 000
Wages and salaries	237 600	
Office equipment at cost	48 000	
Motor vehicles at cost	219 600	
Provision for depreciation:		
Office equipment		9 600
Motor vehicles		21 960
Capital		444 000
Bank	110 420	
Insurance	33 000	
Discount received		9 000
Sundry expenses	112 000	
Drawings	11 680	
	<u>2 158 740</u>	<u>2 158 740</u>

The following information is also available on 31 December 2010:

- (i) Stock(Inventory) at 31 December 2010: Furniture \$120 000.
Electrical \$ 98 000.
- (ii) Rent accrued on 31 December 2010 amounted to \$3 600.
- (iii) Insurance paid covers 15 months to 31 March 2011.

Centre Number

Candidate's Number

5

(c) the Balance Sheet (Statement of financial position) as at
31 December 2010.

1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31	32	33	34	35	36	37	38	39	40	41	42	43	44	45	46	47	48	49	50	51	52	53	54	55	56	57	58	59	60	61	62	63	64	65	66	67	68	69	70	71	72	73	74	75	76	77	78	79	80	81	82	83	84	85	86	87	88	89	90	91	92	93	94	95	96	97	98	99	100
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(b) the combined Profit and Loss Account for the year ended 31 December 2010,

For
Examination
Use

[7]

Centre Number

Candidate's Number

7

(ii) Stationery Account.

[13]

Pay special attention to **dates and details.**

(b) State where exactly in the Balance Sheet(Statement of financial position) of S. Tawana would the balances in the following accounts on 31 December 2010 be found:

(i) the Rent Received Account,

(ii) the Stationery Account.

[2]

- 4 Write down the word(s) or figure(s) required to complete each of the following sentences.

Do not write the whole sentence.

- (a) In the books of a non-profit making organisation, capital is replaced by _____.
- (b) In a manufacturing firm, _____ is made up of cost of raw materials used, direct labour and direct expenses.
- (c) If a payment by cheque of \$506 for electricity is recorded in error in both Bank Account and Electricity Account as \$5 064, this is an error of _____.
- (d) Cost of transporting new machinery to be used in the business is (i) _____ expenditure whereas cost of repairing the machinery after one month's use is (ii) _____ expenditure.
- (e) Goodwill occurs when the (i) _____ of a business exceeds the value of net (ii) _____ taken over.
- (f) In the books of a partnership business, goods taken by a partner for own use are entered on the _____ side of the Current Account.
- (g) A _____ statement is drawn up to make the cash book bank transactions agree with the transactions compiled by the bank.
- (h) A business has total fixed(non-current) assets of \$100 000, current assets \$60 000 [including stock(inventory) \$15 000], current liabilities \$30 000, and long-term loan \$20 000. The current ratio is (i) _____ and the quick ratio is (ii) _____.
- (i) Given that the opening capital is \$30 000, closing capital \$40 000 and drawings \$9 000, the net profit is \$ _____.
- (j) A document issued to the business for a fixed (non-current) asset bought on credit is known as the (i) _____ and the transaction for the fixed (non-current) asset is first recorded in the (ii) _____.

Centre Number

Candidate's Number

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(ii) Stationery Account.

B

[13]

Pay special attention to **dates and details**.

(b) State where exactly in the Balance Sheet (Statement of financial position) of S. Tawana would the balances in the following accounts on 31 December 2010 be found:

(i) the Rent Received Account,

(ii) the Stationery Account.

[2]

The following errors were later discovered:

- (i) Purchases day book had been undercast by \$200.
- (ii) An invoice to P. Panashe for \$400 had been correctly entered in the sales day book, but had been omitted in the debtor's account.
- (iii) Wiseman's private rent of \$100 had been debited to Rent Account.
- (iv) An amount of \$150 for damaged goods returned to T. Peters, a creditor, had been correctly entered in the supplier's account but entered on the wrong side of the Returns Outwards Account.
- (v) Cash discount received from a supplier of \$20 had been debited to the Discount Allowed Account.

You are required to:

- (a) prepare journal entries to correct the above errors, (Narrations are not required);

Centre Number

Candidate's Number

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(b) complete the Suspense Account,

[3]

(c) calculate the correct net profit for the half year ended 30 June 2010
after correction of the above errors. Original net profit was \$5 500.

[3]

- 4 Write down the word(s) or figure(s) required to complete each of the following sentences.

Do not write the whole sentence.

- (a) In the books of a non-profit making organisation, capital is replaced by _____.
- (b) In a manufacturing firm, _____ is made up of cost of raw materials used, direct labour and direct expenses.
- (c) If a payment by cheque of \$506 for electricity is recorded in error in both Bank Account and Electricity Account as \$5 064, this is an error of _____.
- (d) Cost of transporting new machinery to be used in the business is (i) _____ expenditure whereas cost of repairing the machinery after one month's use is (ii) _____ expenditure.
- (e) Goodwill occurs when the (i) _____ of a business exceeds the value of net (ii) _____ taken over.
- (f) In the books of a partnership business, goods taken by a partner for own use are entered on the _____ side of the Current Account.
- (g) A _____ statement is drawn up to make the cash book bank transactions agree with the transactions compiled by the bank.
- (h) A business has total fixed (non-current) assets of \$100 000, current assets \$60 000 [including stock (inventory) \$15 000], current liabilities \$30 000, and long-term loan \$20 000. The current ratio is (i) _____ and the quick ratio is (ii) _____.
- (i) Given that the opening capital is \$30 000, closing capital \$40 000 and drawings \$9 000, the net profit is \$ _____.
- (j) A document issued to the business for a fixed (non-current) asset bought on credit is known as the (i) _____ and the transaction for the fixed (non-current) asset is first recorded in the (ii) _____.

Section B

Answer any two questions from this section.

- 5 J.B. Khumalo Ltd had the following details extracted from its books for the year ended 31 December 2010:

Authorised Capital

1 400 000 Ordinary shares of 50 cents each	\$700 000
200 000 8% Preference shares of \$1 each	\$200 000

Issued Capital

1 000 000 Ordinary shares of 50 cents each, fully paid	\$500 000
200 000 8% Preference shares of \$1 each, fully paid	\$200 000
3 000 10% Debentures of \$50 each	\$150 000

Reserves on 1 January 2010

General Reserve	\$ 30 000
Profit and Loss Account	\$ 12 000 Cr

Net Profit for the year was \$165 000 before allowing for debenture interest. An interim dividend of 2 cents per ordinary share was paid during the year.

The directors recommended that :

- (i) the general reserve be increased by \$10 000.
- (ii) a full year's dividend be allowed for preference shareholders.
- (iii) a final dividend of 5% on ordinary share capital be paid.

You are required to prepare:

- (a) the Profit and Loss Appropriation Account for the year ended 31 December 2010,

--	--

[illegible]

12

- (b) the Balance Sheet (Statement of financial position) extract showing the total shareholders' funds.

Exon

7

[7]

2010 August 1	Debtors' (Trade receivables) balance	\$ 5 600 Dr
	Creditors' (Trade payables) balance	1 700 Cr
2010 August 31	Credit sales	40 000
	Credit purchases	24 000
	Cash purchases	7 000
	Returns outwards	200
	Returns inwards	100
	Cheques and cash received from debtors	37 000
	Cheques paid to creditors	16 000
	Customers' cheques dishonoured	2 500
	Discount allowed	400
	Discount received	350
	Interest charged to customers on overdue accounts	130
	Amounts settled by contra	2 300
	Cash refund from suppliers for overpayments	60
	Bad debts written off	800
	Provision for bad debts	1 610
	Debit balances in the purchases ledger	40
	Credit balances in the sales ledger	70

- (a) You are required to prepare for the month of August 2010:

- (i) Sales Ledger Control Account,

[illegible]

Centre Number

Candidate's Name

15

(ii) Purchases Ledger Control Account.

[11]

(b) State **two** advantages of preparing control accounts.

[2]

JUNE 2013 SPECIMEN

POSSIBLE ANSWERS 7112/1

1(a) Departmental trading account for the year ended 31 december 2010

	Furniture \$		Electricity	
Sales		706000		917040
less returns inwards				(28040)
				889000
less Cost of sales				
opening stock		130000		2000000
Purchases	300000		350000	
customs duty			58000	
Railage inwards	66000	366000	24000	432000
		496000		632000
		(120000)		(98000)
less closing stock				
cost of sales		(376,000)		(534000)
Gross Profit		330000		355000

[8marks]

1(b) Profit and loss account for the year ended 31 december 2010

Gross Profit	(330000+355000)		685000
add Income			
discount received		9000	
decrease in provision for bad debts		380	9380
			694380
Less Expenses:			
rent	76400+3600	80000	
wages and salaries		237600	
sundry expenses		112000	
Insurance	33000-6600	26400	
dep: office equipment		7680	
motor vehicles		21960	485740
NET PROFIT			208740

1(ii)

Statement of financial position/Balance sheet as at 31 december 2010

Non- current assets		Cost	acc dep	NBV
motor vehicles		219600	43920	175680
office equipment		48000	17280	30720
				206360
Current Assets				
stock	120000+98000		218000	
trade receivables		154000		
less provision for bad debts		(4620)	149380	
Bank			110420	
Prepaid Insurance			6600	484 400
TOTAL ASSETS				690800
EQUITY AND LIABILITIES				
EQUITY				
Capital				444000
add Net profit				208840
				652740
less drawings				(11680)
LIABILITIES				641060
Current liabilities				
Trade payables			46140	
accrued rent			3600	49740
TOTAL EQUITY AND LIABILITIES				690800

[12marks]

2(a)

dr		Rent account		cr	
2010			2010		
31-Dec	balance c/d	28000	jan-1	balance b/d	5000
			marc-31	cash	12500
			jun-30	Bank	6000
		<u>28000</u>	sept-30	Cash	<u>9000</u>
					<u>28000</u>

dr		Stationery account		cr	
2010			2010		
jan 1	balance b/d	12000	June 8	Returns outwards	8000
April 2	Bank	35000	dec31	income statement	55000
June 5	Takunda books	20000		Balance c/d	4000
		<u>67000</u>			<u>67000</u>
	balance b/d	4000			

b(i) current liabilities

(ii) current assets

3(a) journal entries

		Debit\$	Credit\$
purchases		200	
	suspense		200
P Panashe		400	
			400
Drawings		100	
	Rent account		100
Suspense		300	
	Returns outwards		300
Suspense		40	
	Discount received		20
	Discount allowed		20

[12marks]

3(b)

dr		Suspense account		cr	
trial balance difference	260	Purchases		200	
returns outwards	300	D Panashe		400	
Discount received	20				
Discount allowed	<u>20</u>				
	<u>600</u>				<u>600</u>

[3marks]

3(c)

Statement of corrected net oprofit

net profit before adjustments	5500
Purchases	(200)
Rent	100
Purchases Returns	150
Discount received	40
corrected net profit	<u>5590</u>

4(a) Accumulated fund

(b) Prime Cost

(c) Original-entry

(e) (i) Purchase Price (ii) Assets

(f) Debit side

- (d i) Capital Expenditure
(ii) Revenue expenditure

- (g) Bnk reconciliation statement
(h i) 2 (ii) 1,5:1
(l) \$19000
(j i) Invoice (ii) General journal

5(a) Profit and loss appropriation account for the year ended 31 december 2010

Net profit before interest		165000
less debenture interest (10%x 150000)		(15000)
		150000
less Transfer to general reserves	10000	
add Dividends paid and proposed		
Preference: Interim	16000	
Ordinary: Interim	10000	
Final	25000	(61000)
		89000
add Retained earnings b/d		12000
Retained earning c/d		101000

[6marks]

5(b) statement of financial position(balance sheet) extract as at 31 decemer 2010

Authorised share capirtal		
1400000 ordinary share of \$0.50 each		700000
200000 8% preference shares of \$1 each		200000
		900000
Issued share capital		
1000000 ordinary shares of \$0.50 each, fully paid		500000
200000 8% preference shares of 1\$ each, fully paid		200000
		700000
Reserves		
General reserves (30000+10000)	40000	
add Retained earnings	101000	141000
Non-current liabilities		
300000 10% Debentures		300000
		1141000

[7marks]

6 Income and expenditure account for the year ended 31 december 2010

INCOME		
Subscription		4900
sale of raffle tickets	15000	
less cost of raffle tickets	(8000)	7000
Donations		<u>10500</u>
		22400
EXPENDITURE		
Stationery	1400	
rent for club house	6500	
postages and telephone	600	
rates	1000	
insurance	1800	
Depreciation: Furniture	<u>400</u>	<u>11700</u>
surplus of income over expenditure		10700

7(a)

dr	Sales ledger control account		cr
balance b/d	5600	returns inwards	100
credit sales	40000	discount allowed	400
dishonoured cheques	2500	sett off	2300
interest charges	130	bad debts	800
		cheques from debtors	37000

balance c/d	<u>70</u>	balance c/d	<u>7700</u>
	<u>48300</u>		<u>48300</u>
balance b/d	7700	balance b/d	70

Purchases ledger control account			
dr			cr
returns outwards	200	balance b/d	1700
Discount received	350	Credit purchases	24000
setts off	2300	Cash Refunds	60
cheques paid	16000		
balance c/d	<u>6950</u>	balance c/d	<u>40</u>
	<u>25800</u>		<u>25800</u>
balance b/d	40	balance b/d	6950

- 7(b) - to check arithmetical errors
 - deter fraud
 - to calculate credit sales and credit purchases
[2marks]



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS
PAPER 1 Multiple Choice

7112/1

NOVEMBER 2013 SESSION

1 hour 30 minutes

Additional materials:

Multiple Choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C and D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet.

Read very carefully the instructions on the answer sheet.

INFORMATION FOR CANDIDATES

Each correct answer will score **one** mark. A mark will **not** be deducted for a wrong answer.

Any rough working should be done in this booklet.

Calculators must not be used.

This question paper consists of 12 printed pages.

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- 1 The accounting equation is stated as
- A assets = capital – liabilities.
 - B assets = liabilities – capital.
 - C capital = assets – liabilities.
 - D capital = assets + liabilities.
- 2 Which subsidiary book is used to record the purchase of office machinery on credit?
- A General Journal
 - B Purchases Journal
 - C Purchases Returns Journal
 - D Sales Journal
- 3 A disadvantage of a computer in processing accounting data is that
- A it is more difficult to discover fraud.
 - B operating costs are cut as fewer employees are needed.
 - C there are less chances of arithmetical errors.
 - D up-to-date information is made available faster.
- 4 The document sent by the seller to a buyer to request for payment at the end of the month is called a
- A bank statement.
 - B credit note.
 - C purchases invoice.
 - D statement of account.
- 5 Which of the following are source documents for a cash book?
- A bank statement, cheque, deposit slip
 - B credit note, invoice, voucher
 - C credit note, receipt, voucher
 - D debit note, receipt, sales invoice
- 6 Capital expenditure of \$1 000 was treated as revenue expenditure. This error resulted in the net profit being
- A overstated by \$1 000.
 - B overstated by \$2 000.
 - C understated by \$1 000.
 - D understated by \$2 000.

- 7 Dube, a trader, bought goods on credit worth \$7 500. He was given a trade discount of 10% and a cash discount of 2% on payment.

How much did he pay?

- A \$750
- B \$6 615
- C \$6 250
- D \$7 350

- 8 Which of the following set of items appears on the debit side of the trial balance?

- A carriage inwards and carriage outwards
- B commission paid and commission received
- C discount allowed and discount received
- D returns inwards and returns outwards

- 9 What does a debit balance in a packing materials account at the end of a financial year represent?

- A an amount paid for packing materials
- B amount not yet paid for packing materials
- C packing materials used for the year
- D unused packing materials

- 10 Which of the following errors would be revealed by a trial balance?

- A credit sales of \$300 recorded as \$30 in the book of original entry
- B expenses being debited to sales account
- C insurance paid \$75 not recorded in the books
- D salaries paid \$650 recorded in the salaries account only

The following account was taken from the ledger of a trader. Use the account to answer questions 11 and 12.

O. Chuma Account

2011	\$	2011	\$
May 01 Sales	2 050	May 17 Cash	3 000
14 Sales	3 600	19 Returns	500
30 Sales	1 800		

- 11 What is the balance on 01 June 2011?
- A credit balance of \$3 950
 - B credit balance of \$7 450
 - C debit balance of \$3 950
 - D debit balance of \$7 450
- 12 In which ledger would Chuma's account be found?
- A creditors' (trade payables) ledger
 - B debtors' (trade receivables) ledger
 - C general ledger
 - D private ledger
- 13 The total of the discount column on the receipts side of the cash book is posted to the
- A credit side of the discount allowed account.
 - B credit side of the discount received account.
 - C debit side of the discount allowed account.
 - D debit side of the discount received account.
- 14 Which of the following items increases the balance of a bank statement?
- A credit transfer
 - B dishonoured cheques
 - C interest on overdraft
 - D ledger fees

- 15 A petty cashier had a float of \$45 and made the following payments:

	\$
Tea	7
Postage	15
Stationery	6
Cleaning materials	14

To restore the imprest, the petty cashier was given

- A \$ 3.
- B \$42.
- C \$45.
- D \$87.

- 16 A cashbook had a credit balance of \$2 000. The following items appeared on the bank statement only.

	\$
Bank charges	620
Credit transfer	1 300
Dividends received	2 960
Dishonoured cheques	250
Standing order: ZM Insurance	370

What was the updated cashbook balance?

- A \$1 020 credit
- B \$1 020 debit
- C \$5 120 credit
- D \$5 120 debit

- 17 Subscriptions in arrears are shown in the balance sheet as

- A current assets.
- B current liabilities.
- C fixed(non-current) assets.
- D long term(non-current) liabilities.

- 18 The following account was taken from the ledger of C. Mafara.

L. Brown Account

DATE	DETAILS	DEBIT \$	CREDIT \$	BALANCE \$
2011				
July 1	Balance b/f			500
4	Purchases		350	850
6	Purchases returns	40		810
17	Bank	470		340
17	Discount received	30		310
24	Purchases		280	590

What does the balance on 24 July represent?

- A amount owed to Brown by Mafara
- B amount owed to Mafara by Brown
- C amount paid by Mafara to Brown
- D value of goods bought from Brown

- 19 The following was obtained from the books of N. Zenzo on 30 June 2011.

	\$
Updated cash book balance	10 700 debit
Cheque deposits not yet credited	7 200
Unpresented cheques	5 000

How much is the bank statement balance?

- A \$ 4 300
- B \$ 8 500
- C \$12 200
- D \$12 900

- 20 One of the shortcomings of a receipts and payments account is that

- A amounts in arrears and in advance are not shown.
- B cash received during the year is shown.
- C closing cash and bank balances are calculated.
- D payments made in the current year are known.

- 21 The following is a list of assets and liabilities for a club on 1 January 2011:

	\$
Equipment	5 000
Cash in hand	450
Subscriptions in advance	320
Furniture	2 500
Creditors(accounts payables)	980

What is the accumulated fund of the club?

- A \$ 6 650
 B \$ 7 290
 C \$ 8 610
 D \$19 250
- 22 Stock(inventory) is valued at the lower of
- A cost price and average stock(inventory).
 B cost price and net realisable value.
 C net realisable value and average stock(inventory).
 D net realisable value and average cost.
- 23 How is a credit balance on a bank account shown in the balance sheet(statement of financial position)?
- A current asset
 B current liability
 C fixed(non-current) asset
 D long term(non-current) liability
- 24 Which of the following is a cause of physical deterioration of fixed(non-current) assets?
- A inadequacy
 B obsolescence
 C revaluation
 D wear and tear
- 25 What is the double entry for an increase in the provision for bad debts?
- A debit bad debts, credit profit and loss
 B debit profit and loss, credit bad debts
 C debit profit and loss, credit provision for bad debts
 D debit provision for bad debts, credit profit and loss

- 26 An electricity account had a credit balance of \$5 000 on 01 January 2011. A cash payment of \$30 000 was made. An amount of \$1 000 was outstanding on 31 December 2011.

How much was transferred to the profit and loss account?

- A \$24 000
- B \$26 000
- C \$30 000
- D \$36 000

- 27 A business provides the following information.

Sales	\$20 000
Gross profit	25% of sales
Net profit	10% of sales

Operating expenses amounted to

- A \$2 000.
- B \$3 000.
- C \$5 000.
- D \$7 000.

- 28 The excess of purchase price over the value of net assets taken over is known as

- A discount.
- B goodwill.
- C profit.
- D surplus.

- 29 Farai and Tendai are equal partners. They decide to admit Owen as an equal partner. Goodwill of \$18 000 is introduced.

What is the double entry for recording the goodwill?

- A debit Capital: Farai \$6 000, credit Goodwill \$18 000
Owen \$6 000
Tendai \$6 000
- B debit Capital: Farai \$9 000, credit Goodwill \$18 000
Tendai \$9 000
- C debit Goodwill \$18 000, credit Capital: Farai \$6 000
Owen \$6 000
Tendai \$6 000
- D debit Goodwill \$18 000, credit Capital: Farai \$9 000
Tendai \$9 000

- 30 In a partnership, the share of loss is

- A credited to the partner's capital account.
- B credited to the partner's current account.
- C debited to the partner's capital account.
- D debited to the partner's current account.

- 31 The following balances are available from the books of N. Ndoro on 31 December 2011.

	\$
Fixed(non-current) assets	24 000
Current assets	16 000
Current liabilities	8 000
Long term(non-current) liabilities	10 000

What is the current ratio?

- A 1,6: 1
- B 2: 1
- C 2,4: 1
- D 3: 1

32 In a manufacturing account, royalties are

- A administrative costs.
- B direct costs.
- C indirect costs.
- D selling and distribution costs.

33 Which of the following does **not** appear in a manufacturing account?

- A depreciation of office equipment
- B depreciation of plant and machinery
- C hire of special plant
- D factory supervisor's wages

34 The following information was taken from the books of A. Aleck on 31 December 2011.

	\$
Stock(inventory) 1 January 2011	10 000
Stock(inventory) 31 December 2011	20 000
Sales	100 000
Gross profit margin 25%	

Purchases amounted to

- A \$25 000.
- B \$75 000.
- C \$85 000.
- D \$95 000.

35 The information below was extracted from the books of M. Mutumwa on 31 December 2011.

	\$
Trade debtors/receivables 1 January 2011	6 500
Trade debtors/receivables 31 December 2011	7 900
Cash received from debtors during the year	36 000
Discount allowed	2 000

What is the amount for credit sales?

- A \$36 400
- B \$39 400
- C \$45 900
- D \$52 400

- 36 The following balances were extracted from the books of a trader.

	\$
Opening capital	165 000
Closing capital	113 500
Drawings	33 000

What is the net loss for the year?

- A \$18 500
 B \$51 500
 C \$80 500
 D \$84 500
- 37 Interest on debentures is recorded as a
- A credit in the appropriation account.
 B credit in the profit and loss account.
 C debit in the appropriation account.
 D debit in the profit and loss account.
- 38 The shareholder's funds consist of
- A authorised capital – issued capital.
 B authorised capital + issued capital.
 C issued capital + debentures.
 D issued capital + reserves.
- 39 A company had an issued share capital of 400 000 10% preference shares of 50 cents each.
- An interim dividend of \$5 000 was paid.
- What was the final dividend?
- A \$15 000
 B \$20 000
 C \$35 000
 D \$40 000

40 The following account appeared in the books of L. Hama.

Motor Vehicle Disposal Account

2011	\$	2011	\$
June 30 Motor vehicle	80 000	June 30 Provision for Depreciation	32 000
Dec 31 Profit and Loss	<u>2 000</u>	30 Cash	<u>50 000</u>
	<u>82 000</u>		<u>82 000</u>

What does the entry on 31 December 2011 represent?

- A loss on revaluation of a motor vehicle
- B loss on sale of a motor vehicle
- C profit on revaluation of a motor vehicle
- D profit on sale of a motor vehicle

NOVEMBER 2013

POSSIBLE ANSWERS 7112/1

1 C
2 A
3 A
4 D
5 C
6 C
7 B
8 A
9 D
10 D
11 C
12 B
13 C
14 C
15 B
16 B
17 A
18 A
19 B
20 A

21 A
22 B
23 B
24 D
25 C
26 B
27 B
28 B
29 C
30 D
31 B
32 B
33 A
34 C
35 B
36 A
37 C
38 D
39 B
40 A



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS

7112/1

PAPER 1 Multiple Choice

JUNE 2014 SESSION

1 hour 30 minutes

Additional materials:

Multiple Choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are forty questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C and D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet.

Read very carefully the instructions on the answer sheet.

INFORMATION FOR CANDIDATES

Each correct answer will score **one** mark. A mark will **not** be deducted for a wrong answer.

Any rough working should be done in this booklet.

Calculators must not be used.

This question paper consists of 10 printed pages and 2 blank pages.

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- 1 Which is the correct accounting cycle?
- | | | | | |
|---|-----------------|---------------|-----------------|----------------|
| A | ledger | trial balance | subsidiary book | final accounts |
| B | subsidiary book | ledger | trial balance | final accounts |
| C | subsidiary book | trial balance | ledger | final accounts |
| D | trial balance | ledger | subsidiary book | final accounts |
- 2 The subsidiary book which is part of the ledger is the
- A cash book.
 B general journal.
 C purchases journal.
 D sales journal.
- 3 The advantage of using computers in data processing is that they
- A are readily available.
 B cannot be corrupted by virus.
 C have a huge storage facility.
 D require skilled personnel.
- 4 The total in the sales journal is posted to the
- A credit side of the debtor's account.
 B credit side of the sales account.
 C debit side of the debtor's account.
 D debit side of the sales account.
- 5 Which of the following is a factory overhead cost?
- A depreciation of plant
 B machine operator's wages
 C patent fees
 D royalties
- 6 The documents used when preparing a cash book are
- A cheque stubs and receipts.
 B credit notes and purchases invoices.
 C debit notes and sales invoices.
 D invoices and vouchers.

- 7 Which of the following is classified as capital expenditure?
- A cost of extending a garage
 - B cost of buying a motor van for resale
 - C cost of repainting premises
 - D cost of repairing a plant
- 8 What is the double entry for dishonoured cheques?
- A debit bank account, credit creditor's account
 - B debit bank account, credit debtor's account
 - C debit creditor's account, credit bank account
 - D debit debtor's account, credit bank account
- 9 On 01 January 2011, G. Nare bought goods worth \$20 000 less 10% trade discount. The cash discount was 5% within 20 days.
- How much was paid on 12 January 2011?
- A \$17 000
B \$17 100
C \$18 000
D \$19 000
- 10 In the accounts of a club, the excess of expenditure over income is called a
- A deficit.
 - B loss.
 - C profit.
 - D surplus.
- 11 One of the advantages of preparing a petty cashbook is to
- A record small payments on vouchers.
 - B reduce the number of postings to the ledger.
 - C spend less on small payments.
 - D use the imprest system.

$$\begin{array}{r}
 10 \text{ } 20000 \\
 10\% \\
 \hline
 2000 \\
 18000 \\
 5\% \\
 \hline
 900 \\
 17100
 \end{array}$$

1000 - 20 = 980

17100 - 980 = 16120

- 12 The following information was extracted from the books of a trader on 01 January 2011.

	Dr	Cr
	\$	\$
Motor vehicles	60 000	
Provision for depreciation		20 000

Motor vehicles were depreciated at 10% per annum using the reducing balance method.

The net book value of the motor vehicles on 31 December 2011 was

- A \$24 000.
 B \$32 000.
 C \$36 000.
 D \$38 000.

$\frac{10}{100} \times 40 000 = 4 000$
 $40 000 - 4 000 = 36 000$

- 13 Given:

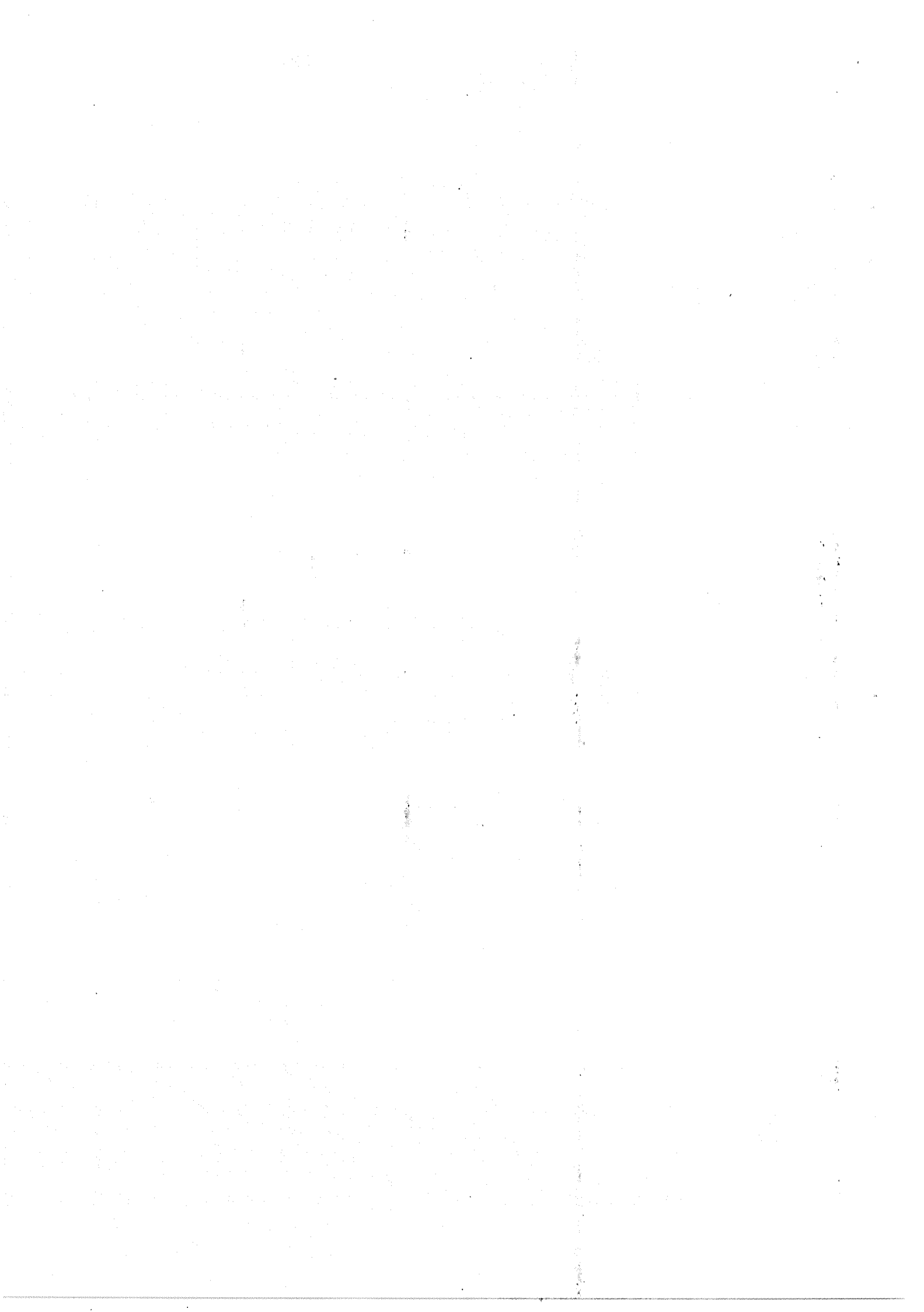
	\$
Cost of raw materials used	80 000
Repairs and maintenance of plant	4 000
Royalties	3 000
Manufacturing wages	11 000
Closing stock of work in progress	2 000

The prime cost is

- A \$ 93 000.
 B \$ 94 000.
 C \$ 98 000.
 D \$100 000.

- 14 Control accounts are important because they are used to

- A calculate sales and purchases.
 B check the work of junior clerks.
 C correct errors.
 D prevent fraud.



- 15 On 31 December 2011, debtors were \$60 000. A provision for doubtful debts of 5% was created after writing off an amount of \$4 000 as bad debts.

The amount for net debtors in the balance sheet was

- A \$49 200.
B \$53 000.
C \$53 200.
D \$57 000.

$$\begin{array}{r}
 60\,000 \\
 - 4\,000 \\
 \hline
 56\,000 \\
 + 5\% \text{ of } 56\,000 \\
 2\,800 \\
 \hline
 58\,800
 \end{array}$$

- 16 Which error would prevent totals of a trial balance from agreeing?

- A complete reversal of entries
B error of commission
C error of transposition
D single entry

- 17 Which item increases the bank statement balance?

- A bank charges
B credit transfer
C direct debit
D dishonoured cheques

- 18 A bank loan differs from a bank overdraft in that it

- A has a high interest rate.
B is given to current account holders only.
C is repaid over a long period of time.
D is repaid over a short period of time.

- 19 The omission of an invoice of \$1 300 for goods sold was discovered after preparation of a draft income statement.

If the error is corrected, the effect is to

- A increase gross profit only by \$1 300
B increase gross profit and net profit by \$1 300.
C reduce gross profit only by \$1 300.
D reduce gross profit and net profit by \$1 300.

20 Given:

	\$
Bank statement balance	12 700 credit
Bank lodgements not yet credited	4 800
Unpresented cheques	3 900

The cash book balance is

- A \$ 4 000 credit.
- B \$ 4 000 debit.
- C \$13 600 credit.
- D \$13 600 debit.

12 700
- 3 900

8 800
+ 4 800

13 600

21 What is the double entry for interest on capital?

- A debit appropriation account, credit current account
- B debit capital account, credit current account
- C debit current account, credit appropriation account
- D debit current account, credit capital account

22 In partnership accounts, a partner's drawings are debited to the

- A appropriation account.
- B current account.
- C profit and loss account.
- D trading account.

23 Banda and Mwale are in equal partnership. Mwale is entitled to a monthly salary of \$10 000. Their net trading profit is \$600 000.

How much is Mwale's total income for the year?

- A \$240 000
- B \$295 000
- C \$305 000
- D \$360 000

24 Profit or loss made on the sale of a fixed asset is calculated in the

- A asset disposal account.
- B profit and loss account.
- C provision for depreciation account.
- D trading account.

- 25 The following information was extracted from the books of F. Shumba.

2011			\$
January	01	debtors/trade receivables	10 000
December	31	debtors/trade receivables	15 000
		discount allowed	3 000
		bad debts written off	2 000
		cheques from debtors	6 000

The amount of credit sales was

- A \$10 000.
 B \$12 000.
 C \$16 000.
 D \$36 000.
- 26 A cheque payment of \$1 400 for electricity was omitted from the books.
- The effect of this error was to
- A increase gross profit.
 B increase net profit.
 C reduce gross profit.
 D reduce net profit.
- 27 What is meant by a debit balance in a profit and loss account?
- A gross loss
 B gross profit
 C net loss
 D net profit
- 28 Cheques are dishonoured if the
- A amount is equal to the drawer's bank balance.
 B amount in words is the same as the amount in figures.
 C drawer's signature is the same as the specimen signature.
 D drawer stops payment.
- 29 Direct materials, direct labour and direct expenses make up the
- A cost of production.
 B cost of raw materials consumed.
 C factory overhead costs.
 D prime cost.

30 The issued share capital of a joint stock company cannot exceed the

- A authorised share capital.
- B called up share capital.
- C ordinary share capital.
- D paid up share capital.

31 In limited companies, total capital funds are obtained by adding

- A authorised capital and issued capital.
- B debentures and reserves.
- C debentures and shareholders' funds.
- D reserves and shareholders funds.

32 The issued share capital of a limited company consists of

600 000 10% preference shares of 50 cents each.
100 000 ordinary shares of \$2 each.

Handwritten: 300 000
100 000

What is the issued share capital?

- A \$300 000
- B \$500 000
- C \$600 000
- D \$800 000

33 A business sub-lets part of its premises at a rate of \$1 200 per month.

During the year ended 31 December 2011 the business received \$15 000.

How much is credited to the profit and loss account on 31 December 2011?

- A \$ 1 200
- B \$13 800
- C \$14 400
- D \$15 000

Handwritten: 15 000

34 Which of the following is an intangible asset?

- A cash at bank
- B goodwill
- C furniture
- D stock of stationery

- 35 On 01 January 2011, the subscriptions account had a debit balance of \$800 and a credit balance of \$1 000. An amount of \$5 000 was received for subscriptions during the year.

The amount transferred to the income and expenditure account on 31 December 2011 was

- A \$4 800.
B \$5 000.
C \$5 200.
D \$6 800.

opening b/d 1000
received by cash 5000
6000
prepaid by 1000
1000
6000

- 36 Owen's business was purchased at an agreed price of \$75 000. The following assets and liabilities were taken over.

	\$
Furniture	45 000
Stock	15 000
Trade debtors	20 000
Trade creditors	13 000
Expenses owing	17 000

80000
130000
50000

75 000

The value of goodwill was

- A \$ 25 000.
B \$ 50 000.
C \$ 80 000.
D \$125 000.

- 37 The following information was extracted from the books of a trader on 31 December 2011.

	\$
Net profit	25 000
Turnover	200 000
Gross profit	50 000

The gross profit mark-up was

- A $12\frac{1}{2}\%$.
B 25%.
C $33\frac{1}{3}\%$.
D 50%.

$$\frac{GP}{COGS} = \frac{25000}{150000} \times 100$$

200 000
- 150 000
50 000

- 38 The account shown below was taken from the nominal ledger of N. Ncube.

Packaging Materials Account

2011	\$	2011	\$
Oct. 1 Balance b/d	40 000	Oct. 21 Patel Ltd	3 000
6 Cash	10 000	31 Profit and loss	66 000
17 Patel Ltd	<u>20 000</u>	31 Balance c/d	<u>1 000</u>
	<u>70 000</u>		<u>70 000</u>

What is meant by the entry "Profit and loss 66 000"?

- A packing materials bought on credit
 B packing materials not used
 C packing materials returned
 D packing materials used
- 39 An increase in provision for bad debts is recorded as
- A debit bad debts account, credit profit and loss account.
 B debit profit and loss account, credit bad debts account.
 C debit profit and loss account, credit provision for bad debts account.
 D debit provision for bad debts account, credit profit and loss account.
- 40 The account shown below was taken from the ledger of a partnership.

T. Bwanali: Current Account

2011	\$	2011	\$
Dec 31 Drawings	15 000	Jan 1 Balance b/d	180
Interest on drawings	750	Dec 31 Salary	2 000
		Interest on capital	10 000
		Share of profits	1 000
	<u>15 750</u>	Balance c/d	<u>2 570</u>
			<u>15 750</u>

The balance on 31 December 2011 represents

- A loss to be shared.
 B overdrawn profits.
 C profit not used.
 D undrawn profits.

JUNE 2014

POSSIBLE ANSWERS 7112/1

1 B
2 A
3 C
4 B
5 A
6 A
7 A
8 D
9 B
10 D
11 B
12 C
13 B
14 A
15 C
16 D
17 A
18 C
19 B
20 C

21 A
22 B
23 C
24 A
25 C
26 B
27 C
28 D
29 D
30 A
31 D
32 B
33 C
34 B
35 C
36 A
37 C
38 B
39 C
40 B

Surname

Forename(s)

Centre Number

Candidate Number



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS
PAPER 2

7112/2

JUNE 2014 SESSION

2 hours 30 minutes

Allow candidates 5 minutes to count pages before the examination.

TIME 2 hours 30 minutes

INSTRUCTIONS TO CANDIDATES

Check that all the pages are in the booklet and ask the invigilator for a replacement if there are duplicate or missing pages.

Write your name, (Surname and Forename(s)), Centre number and candidate number in the spaces provided at the top of this page and your Centre number and candidate number in the box at the top right hand corner of every page of this paper.

Answer all questions.

Write your answers in the spaces provided on the question paper.

Use black or blue ball-point pen only.

All calculations must be shown adjacent to the answer.

Calculators must not be used.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

The businesses described in this paper are entirely fictitious.

This question paper consists of 20 printed pages.

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Centre Number	Candidate's Number

2

Answer all questions.

- 1 S. Kamwendo, a sole trader, extracted the following trial balance from his books on 31 December 2009.

	Debit \$	Credit \$
Capital		64 000
Drawings	4 100	
Purchases and Sales	100 000	142 600
Stock/Inventory, 1 January 2009	9 000	
Returns inwards	700	
Railage inwards	11 000	
Rent	13 000	
Motor expenses	3 100	
Sundry expenses	1 060	
Wages	9 600	
Insurance	1 600	
Provision for bad debts, 1 January 2009		500
Equipment, at cost	60 000	
Motor vehicles, at cost	12 000	
Provision for depreciation, 1 January 2009:		
Equipment		11 400
Motor vehicles		4 800
Bank		960
Debtors (Accounts receivable)	8 200	
Creditors (Accounts payable)		12 100
Cash	3 000	
	<u>236 360</u>	<u>236 360</u>

The following information is also available on 31 December 2009:

- (i) Stock (Inventory) was valued at \$18 200.
- (ii) A credit note received from a supplier for goods worth \$2 500 returned by the business had not been entered in the books of account.
- (iii) Motor expenses due totalled \$260.
- (iv) Insurance in advance amounted to \$120.
- (v) Sundry expenses include \$150 for a private telephone bill.

Centre Number

Candidate's Number

--	--

3

- 1
- (vi) The provision for bad debts is to be adjusted to 5% of debtors/accounts receivables.
 - (vii) Motor vehicles are to be depreciated by 20% per annum on cost and equipment by 10% per annum using the diminishing balance method.

Candidate's Number

Centre Number	Examination Date

4

1

(a)

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There is no handwriting or printed text on the paper.

Centre Number

Candidate's Number

2

F. (2)

[12]

Candidate's Number

Centre Number	Candidate's Name

6

- 1 (b) the Balance Sheet(Statement of financial position) as at 31 December 2009.

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There is no handwriting or other markings on the paper.

Centre Number

Candidate's Number

7

1 (b)

[13]

Centre Number

Candidate's Name

2 (a) (ii) The Stationery Account,

[Turn over

CONFIDENTIAL

10

2 (a) (iii) the Subscriptions Account.

[5]

- Comparison of Cash Book and Bank Statement revealed the following matters:

	\$
1. Bank charges	3 340
2. Credit transfer	14 000
3. Standing order – City Council	2 000
4. Interest on overdraft	2 260

1. Deposits amounting to \$1 800 had not been cleared and credited by the bank.
2. Cheques drawn and sent to Creditors amounting to \$1 500 had not been presented to the bank.

(i) write up a Cash Book update,

15

Candidate's Number

--	--

12

[5]

[5]

S. Samanyika Toy Products Private Limited Company is engaged in manufacturing toys. The following balances were extracted from the business books on 31 December 2009.

	\$
Stocks(inventory) at 1 January 2009:	
Raw materials	11 400
Work-in-progress	4 000
Purchases of raw materials	54 000
Supervisor's wages	5 000
Direct wages	29 000
Royalties	600
Salesman's salaries and wages	7 000
Depreciation of factory machinery	1 200
Stocks(inventory) at 31 December 2009:	
Raw materials	1 400
Work-in-progress	11 500

You are required to prepare the Manufacturing Account for the year ended 31 December 2009, showing clearly **Cost of raw materials consumed, Prime cost and Total cost of production.**

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Candidate's Number

--	--

16

- 3 (b) You are required to prepare journal entries showing parts (ii) to (vi).
Narratives are not required.

[12]

4

(a)

Write down the word(s) or figure(s) required to complete each of the following sentences.

Do not rewrite the whole sentence.

- (i) The source document used for writing up a Petty Cash Book is known as _____, whilst an _____ is a business document used for all credit transactions. [2]
- (ii) The rate of stockturn is obtained by dividing cost of sales by _____. [1]
- (iii) A record of rent paid by cheque \$500 entered as \$5 000 in both Rent and Bank Accounts is an error of _____. [1]
- (iv) The assets and liabilities of Thandi are as follows: Premises \$50 000, Debtors (Accounts receivable) \$29 000, Creditors (Accounts payable) \$30 000, Stock (Inventory) \$15 000, Bank \$16 000. Thandi's current ratio is _____ and her quick ratio is _____. [2]
- (v) Goodwill of a business is the excess of purchase price over its _____. [1]
- (vi) Premises are _____ assets and arise from _____ expenditure. [2]
- (vii) Trading stock is a _____ asset arising from _____ expenditure. [2]
- (viii) When the debit side of a Trial Balance is greater than the credit side the difference is shown on the credit side of the _____ account. [1]

18

- 4 (b) Trustwell Company Ltd had the following details extracted from its books for the year ended 31 December 2010.

Authorised Share Capital	\$
250 000 Ordinary shares of \$1 each	250 000
66 000 11% Preference shares of \$1 each	66 000

Issued Share Capital	
200 000 Ordinary shares of \$1 each, fully paid	200 000
55 000 11% Preference shares of \$1 each, fully paid	55 000

10% Debentures	85 500
----------------	--------

Reserves

General reserve, 1 January 2010	47 550
Profit and loss account, 1 January 2010	20 000

The net trading profit for the year was \$79 550 before allowing for debenture interest.

Interim dividend paid:		\$
Ordinary shares		12 500
Preference shares		3 025

The directors recommend that:

1. the General Reserve be increased to \$70 000.
2. a final dividend be paid to preference shareholders.
3. a final dividend of 15% on ordinary shares be paid.

You are required to prepare

Centre Number

Candidate's Number	

19

(b)

(i)

the Profit and Loss Appropriation Account (Income Statement) for the year ended 31 December 2010,

[6]

Candidate's Number

--	--

20

4 (b) (ii) the Balance Sheet extract at 31 December 2010 showing the total shareholders' funds.

[7]

JUNE 2014

POSSIBLE ANSWERS 7112/2

1(a) S.Kamwendo's trading profit and loss account for the year ended 31 december 2009

Sales	\$	\$	\$
less Returns inwards			142600
TURN OVER			(7000)
less Cost of sales			141900
opening stock		90000	
add Purchases	100000		
less Returns outwards	(2500)		
	97500		
add Railage inwards	11000	108500	
		117500	
less closing stock		(18200)	
COST OF SLAES			(99300)
GROSS PROFIT			42600
add other income:decrease in provision for bad debts			90
			42690
less EXPENSES			
Motor expenses (3100+260)		3360	
Rent		13000	
Sundry expenses (1060-150)		910	
Wages		9600	
Insurance (1600-120)		1480	
Dep: Equipment (60000-11400)x10%		4860	
Motor vehicle (12000x20%)		2400	(35610)
NET PROFIT			7080

[12marks]

1(b) Statement of financial position(Balance sheet) as at 31 december 2009

<u>Non-current assets</u>	COST\$	ACC DEP\$	NBV\$
Equipment	60000	16260	43740
Motor vehicles	12000	7200	4800
			48540
<u>Current assets</u>			
Inventory(stock)		18200	
Debtors(Accounts receivables)	8200		
less provision for bad debts	(410)	7790	
Cash		3000	
Prepaid Insurance		120	29110
TOTAL ASSETS			77650
<u>EQUITY AND LIABILITIES</u>			
<u>EQUITY</u>			
Capital			64000
add Net profit			7080
			71080
less drawings (4100+150)			(4250)
			66830
<u>Current liabilities</u>			
Bank overdraft		960	
Accounts payables(creditors) (12100-2500)		9600	
owing motor expenses		260	10820
TOTAL EQUITY AND LIABILITIES			77650

[13marks]

2(a) i

Bar creditors (Accounts payable) account			
dr			cr
Bank	800	Balance b/d	600
balance c/d	1100	Purchases	1300
	1900		1900
		Balance b/d	1100

[4marks]

(ii)

Stationery account			
dr			cr
balance b/d	120	returns outwards	300
Bank	2400	Income and expenditure	2630
T.K Stationers	500	balance c/d	90
	3020		3020
balance b/d	90		

[6marks]

(iii)

subscription account			
balance b/d	340	balance b/d	100
Income and expenditure	9900	Cash	9600
balance c/d	160	balance c/d	700
	10400		10400
balance b/d	700	balance c/d	160

[5marks]

2(b) i

Updated cash book			
Credit transfer	14000	balance b/d	8600
		Bank charges	3340
		Interest on overdraft	2260
balance c/d	2200	Standing order	2000
	16200		16200
		balance b/d	2200

[5marks]

b(ii)

bank reconcilliation statement as at 31 january 2010	
Balance as per cash book overdraft	2200
add Uncredited cheque	1800
	4000
less Unpresented cheque	(1500)
	2500

[5marks]

3(a)

Samanyika's manufacturing account for the year 31 december 2009

	\$	\$
Raw Materials		
opening stock		11400
add purchases		54000
		65400
less closing stock		(1400)
COST OF RAW MATERIALS CONSUMED		64000
add: Direct wages	29000	
Royalties	600	29600
PRIME COST		93600
add Indirect expenses		
Supervisor's wages	5000	
depreciation: Factory machines	1200	6200
		99800
add Opening work in progress		4000
		103800
less Closing work in progress		(11500)

TOTAL COST OF PRODUCTION

92300
[13 marks]

3(b)

Journal entries

		debit\$	credit\$
ii	Goodwill	7800	
	Capital:Thandiwe		3900
	Sibusisiwe		1950
	Nothando		1950
iii	Profit and loss account	480	
	debtors		480
iv	Land	4930	
	bank		4930
v	Profit and loss account	400	
	equipment		400
vi	Cash	3500	
	Furniture	6500	
	Capital		10000

[12 marks]

- 4(a) i Petty cash voucher and Invoice[1] (ii) Average stock[1] (iii) Original entry/transposition error[1]
 (iv) $\frac{\text{current assets} - \text{current liabilities}}{2} = 2$ [2] (v) net assets[1]
 (vi) Non current /fixed and Capital[2] (vii) current assets arises from Revenue expenditure[2]
 (viii) suspense[1]

4(b)

profit and loss appropriation account for the year ended 31 december 2010

net trading profit		79550
less Debenture interest (10% x 85500)		(8550)
		71000
Transfer to general reserves	22450	
Dividends paid and proposed		
Preference dividends - Interim	3025	
-final	3025	
Ordinary dividends -Interim	12500	
-Final	30000	(71000)
		0
add Retained profit b/d		20000
Retained profit c/d		20000

[6 marks]



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS

7112/1

PAPER 1

NOVEMBER 2014 SESSION

1 hour 30 minutes

Additional materials:

Multiple Choice answer paper

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C, and D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet.

Read very carefully the instructions on the answer sheet.

INFORMATION FOR CANDIDATES

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Calculators **must not** be used.

This question paper consists of 11 printed pages and 1 blank page.

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[Turn over

- 1 Sole proprietorships are
- A manufacturing businesses.
 - B not for profit organisations.
 - C owner-managed businesses.
 - D retail businesses.
- 2 G. Moyo received an invoice of \$ 1 600 from City Builders for repairs to the workshop.
- This transaction was first entered in the
- A Cash Book.
 - B General Journal.
 - C Purchases Journal.
 - D Sales Journal.
- 3 Which set of items contains nominal accounts?
- A capital, creditors, debtors
 - B cash, drawings, wages
 - C discount received, motor expenses, stationery
 - D furniture, motor vehicles, stock
- 4 What is the source of information for the entries in an updated cash book?
- A bank statement
 - B check stub
 - C reconciliation statement
 - D statement of account
- 5 Which of the following is a disadvantage of using computers for processing data?
- A Accurate and up-to-date information is provided.
 - B Arithmetical errors are minimised.
 - C Efficiency of the accounts office improves.
 - D Fraud is more difficult to discover.
- 6 One of the advantages of preparing control accounts is to
- A calculate purchases.
 - B correct errors.
 - C deter fraud.
 - D prevent cheating.

7 Which of the following is a computer hardware device?

- A excel
- B microsoft word
- C mouse
- D pastel

8 An entrepreneur brought her private motor vehicle valued at \$10 000 into her business.

The effect of this transaction is to

- A increase capital by \$10 000.
- B increase working capital by \$10 000.
- C reduce capital by \$10 000.
- D reduce working capital by \$10 000.

9 Which transaction is classified as revenue expenditure?

- A credit purchase of a computer for \$1 200 from S. Nyamande
- B payment of \$5 000 by cheque for an extension to the accounts office
- C purchase of a second hand motor vehicle for \$4 000 cash
- D payment of \$800 cash for replacement of tyres for a second hand vehicle

10 B. Muronda owed J. Brown \$800 on 1 May 2011. On 5 May 2011, Muronda bought goods on credit from Brown for \$2 400. On 8 May 2011, Muronda paid \$780 cash in full settlement of the debt owed on 1 May 2011.

How much does Muronda owe Brown on 9 May 2011?

- A \$780
- B \$800
- C \$2 400
- D \$2 420

11 A correct amount is entered in the wrong person's account. This is an error of

- A commission.
- B original entry.
- C principle.
- D transposition.

12 Which error is revealed by a trial balance?

- A a cash sale of goods for \$269 entered in the books, both debit and credit, as \$296
- B a cheque of \$450 received from a debtor debited to the debtor's account and credited to the bank account
- C a cheque payment of \$1 500 for fixtures entered in the cash book but not in the fixtures account
- D cash drawings of \$500 debited to drawings account and credited to bank account

13 Which item appears in the bank reconciliation statement?

- A bank charges shown on the bank statement
- B dishonoured cheques on the bank statement
- C credit transfers on the bank statement
- D errors made on the bank statement

14 The following information relates to a business.

	\$
Overdraft as per cash book	2 890
Bank charges not yet entered	190
Unpresented cheques	3 200
Deposits not yet credited	4 900

The balance as per bank statement is

- A \$3 080 credit.
- B \$3 080 debit.
- C \$4 780 credit.
- D \$4 780 debit.

15 The drawings account is closed by transferring its balance to the

- A credit side of the capital account.
- B credit side of the profit and loss account.
- C debit side of the capital account.
- D debit side of the profit and loss account.

16 The double entry for a loss on the disposal of a fixed asset is

- A debit fixed asset disposal account, credit profit and loss account.
- B debit profit and loss account, credit fixed asset disposal account.
- C debit profit and loss account, credit provision for depreciation account.
- D debit provision for depreciation account, credit fixed asset disposal account.

17 The double entry for closing stock(inventory) is

- A debit purchases account, credit stock (inventory) account.
- B debit stock (inventory) account, credit purchases account.
- C debit stock (inventory) account, credit trading account.
- D debit trading account, credit stock (inventory) account.

18 A Trial Balance extract as at 31 December 2011 is as follows:

	\$	\$
Machinery at cost	40 000	
Provision for depreciation, 1 January 2011		14 400

Machinery is depreciated at 20 % per annum on a reducing balance basis.

What is the depreciation charge on 31 December 2011?

- A \$2 880
- B \$5 120
- C \$8 000
- D \$10 880

19 A debit balance in the subscriptions received account represents subscriptions

- A owed by members.
- B paid by the club.
- C received in advance.
- D received for the year.

20 If revenue expenditure is classified as capital expenditure,

- A the net loss increases.
- B the net profit decreases.
- C the net profit increases.
- D there is no effect on the net profit.

- 21 The following information relates to Batanai Club on 1 January 2011.

	\$
Cash in hand	500
Equipment	8 200
Bar stock	1 700
Subscription in arrears	450
Subscriptions in advance	690
Creditors for bar stock	1 100

What is the cumulated fund?

- A \$7 860
 B \$9 060
 C \$9 540
 D \$10 440
- 22 Which of the following is a disadvantage of partnerships?
- A Losses are shared by all partners.
 B More capital is raised.
 C More chances of better decisions are made.
 D Profits are shared by all partners.
- 23 A surplus in the income and expenditure account is
- A added to the accumulated fund in the balance sheet.
 B deducted from the accumulated fund in the balance sheet.
 C entered as a current asset in the balance sheet.
 D entered as a current liability in the balance sheet.
- 24 The following is a Trial Balance extract as at 31 December 2011:

	\$	\$
Debtors (trade receivables)	25 000	
Provision for bad debts, 1 January 2011		1 100

The provision for bad debts is to be adjusted to 4 % of debtors.

The provision for bad debts entry in the profit and loss account on 31 December 2011 is

- A \$100 credit.
 B \$100 debit.
 C \$1 000 credit.
 D \$1 000 debit.

25 In partnership, profits on revaluation of assets are

- A credited to old partners' capital accounts at new ratios.
- B credited to old partners' capital accounts at old ratios.
- C debited to old partners' capital accounts at new ratios
- D debited to old partners' capital accounts at old ratios.

26 The following relates to the business of W. Washaya on 1 January 2011..

	\$
Buildings	75 000
Fixtures	12 000
Stock (inventory)	18 000
Debtors (Trade receivables)	15 000
Creditors (Trade payables)	14 000
Expenses due	1 500

A purchaser is willing to pay a goodwill of \$29 500 for the business.

What is the agreed purchase price?

- A \$104 500
- B \$120 000
- C \$134 000
- D \$149 500

27 The profit or loss-sharing ratio of a partnership changes when

- A a new partner is admitted into the partnership.
- B the drawings of the partners exceed their share of profit.
- C the profit for the year is high.
- D there is a net loss for the year.

Use the following information to answer questions 28 and 29.

	\$
Stock(Inventory) 1 January 2011	60 000
Stock(inventory) 31 December 2011	84 000
Turnover	480 000
Cost of goods sold	360 000

- 28 What is the gross profit margin?
- A 25 %
- B $33\frac{1}{3}$ %
- C $66\frac{2}{3}$ %
- D 75 %
- 29 The rate of stockturn is
- A 4 times.
- B 5 times.
- C 6 times.
- D 10 times.
- 30 When a business is purchased as a going concern, the value of assets taken over is
- A credited to business purchases account.
- B credited to goodwill account.
- C debited to business purchase account.
- D debited to goodwill account.
- 31 In the accounts of a manufacturer, the double entry for cost of production is
- A debit manufacturing account, credit profit and loss account.
- B debit manufacturing account, credit trading account.
- C debit profit and loss account, credit manufacturing account.
- D debit trading account, credit manufacturing account.
- 32 Prime cost is direct materials plus
- A direct costs less direct labour.
- B direct expenses plus direct labour.
- C direct labour less indirect costs.
- D direct labour plus indirect costs.

- 33 The following relates to a manufacturing company.

	\$
Cost of raw materials consumed	240 000
Manufacturing wages	350 000
Selling and distribution expenses	175 000
Factory overheads	198 000

The cost of production is

- A \$392 000.
 - B \$590 000.
 - C \$788 000.
 - D \$963 000.
- 34 In joint stock companies, debenture interest is charged to the
- A appropriation account.
 - B capital account.
 - C profit and loss account.
 - D trading account.
- 35 The following information was extracted from the books of Geko Limited.

	\$
Fixed (Non-current) assets	500 000
Current assets	150 000
Current liabilities	100 000
Long term (Non-current) liabilities	50 000

The working capital ratio is

- A 1:1.
- B 1,5:1.
- C 3:1.
- D 4,3:1.

- 36 J.Maradze did not keep her records on the double entry system.

She provided the following information on 31 December 2011.

	\$
Capital 1 January 2011	53 000
Capital 31 December 2011	69 000
Drawings	17 000

The net profit or loss for the year was

- A \$1 000 loss.
- B \$1 000 profit.
- C \$33 000 loss.
- D \$33 000 profit.

- 37 The following account appeared in the ledger of D. Ndlovu.

A. MOYO ACCOUNT

DATE	DETAILS	DEBIT	CREDIT	BALANCE
2011		\$	\$	\$
April 1	Balance b/f			5 200
3	Bank		3 500	1 700
8	Sales	2 300		4 000
10	Bank	3 500		7 500
16	Cash		4 500	3 000

The entry on 10 April 2011 means

- A Moyo paid by cheque.
 - B Moyo received a cheque from Ndlovu.
 - C Moyo's cheque was dishonoured.
 - D Moyo deposited \$3 500 into the bank.
- 38 If closing stock (inventory) is overstated, then
- A gross profit and net profit would be overstated.
 - B gross profit and net profit would be understated.
 - C gross profit only would be overstated.
 - D gross profit only would be understated.

39 Which set of items makes up the shareholders' funds?

- A authorised share capital plus issued share capital
- B authorised share capital plus debentures
- C issued share capital plus debentures
- D issued share capital plus reserves

40 The capital structure of Tashinga Limited is as follows:

Authorised share capital	\$
250 000 ordinary shares of \$2 each	500 000
200 000 8 % preference shares of \$1 each	200 000
Issued share capital	
200 000 ordinary shares of \$2 each	400 000
200 000 8 % preference shares of \$1 each	200 000

On 31 December 2011, the directors recommended a final dividend of 12 % on ordinary shares.

What was the final ordinary share dividend?

- A \$24 000
- B \$48 000
- C \$60 000
- D \$72 000

NOVEMBER 2014

POSSIBLE ANSWERS 7112/1

1 C
2 B
3 C
4 A
5 D
6 C
7 C
8 A
9 D
10 C
11 A
12 C
13 D
14 D
15 C
16 B
17 D
18 B
19 A
20 C

21 B
22 A
23 A
24 A
25 B
26 C
27 A
28 A
29 B
30 C
31 D
32 B
33 C
34 C
35 B
36 D
37 A
38 A
39 D
40 B



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS

7112/1

PAPER 1

SPECIMEN PAPER NOVEMBER 2014

3 hours

Additional materials:

Answer paper

Multi-column accounting paper (8 sheets)

TIME 3 hours

INSTRUCTIONS TO CANDIDATES

Write your name, Centre number and candidate number in the spaces provided on the answer paper.

Answer **all** questions in Section A and any **two** questions from Section B.

Write your answers on the separate answer paper provided.

Start each question on a separate page.

If an answer extends beyond one sheet, all the sheets for that question must be kept together.

All calculations must be shown adjacent to the answer.

Calculators must not be used.

If you use more than one sheet of paper, fasten the sheets together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

This question paper consists of 8 printed pages.

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[Turn over

- 1 J. Sithole runs a retail shop two departments, Furniture and Electrical. The following trial balance was extracted from her books on 31 December 2011.

Trial Balance as at 31 December 2011

	Debit \$	Credit \$
Stock at 1 January 2011: Furniture	20 000	
Electrical	8 000	
Premises	120 000	
Sales: Furniture		90 000
Electrical		85 000
Purchases: Furniture	61 000	
Electrical	50 000	
Trade Debtors (receivables)	20 000	
Discount received		2 500
Trade Creditors (payables)		28 000
Railage inwards, at cost	2 000	
Furniture, at cost	40 000	
Motor vehicle, at cost	60 000	
Provision for depreciation, 1 January 2011:		
Motor vehicles		36 000
Carriage outwards	5 000	
Wages and salaries	18 500	
Insurance	1 800	
Cash at bank	16 200	
General expenses	17 000	
Capital		198 000
	439 000	439 500

The following information is also available on 31 December 2011:

- (i) Stock(inventory) was valued as follows:
- | | |
|------------|----------|
| Furniture | \$32 000 |
| Electrical | \$18 000 |
- (ii) Insurance paid cover 18 months to 30 June 2012.

- (iii) Depreciation is provided for as follows:
Furniture, 10% per annum on cost.
Motor vehicles, 20% per annum using the reducing balance method.
- (iv) On 25 December 2011, J.Sithole took electrical appliances from the business valued at \$6 000 for personnel use. No record was made in respect of this transaction.
- (v) Wages accrued was \$400.
- (vi) Provision for bad debts of 5 % of debtors was created on 31 December 2011.

Es

- (a) the departmental Trading, Account, in columnar form, and the combined Profit and Loss Account (income statement for the year ended 31 December 2011,

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. A vertical margin line is present on the left side, creating a narrow left margin. The paper appears to be from a notebook or a standard ruled document. There are some minor dark specks and faint smudges scattered across the surface, likely due to the scanning process or the age of the paper. No text or other markings are visible on the page.

5

(b) the Balance Sheet (statement of Financial Position) as at 31 December 2011.

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There is no handwriting or printed text on the paper.

- 2 (a) State any two causes of depreciation.

[2]

- (b) The following balances were taken from the books of Jongwe Limited on 1 January 2009.

Motor van, at cost	50 000 Dr
Provision for depreciation on Motor van	10 000 Cr

On 1 January 2009, Jongwe Limited bought a new motor van for \$40 000 from Amtec Dealers by cheque.

On 1 July 2009, another motor van was purchased on credit from Reliable Motors Ltd. for \$60 000.

On 31 December 2009, a motor van with the original cost of \$20 000 bought in 2008, was sold for \$10 000 cash. The accumulated depreciation for this motor van was \$4 000.

On 1 April 2010, the company purchased another motor van for \$20 000 cash.

The company depreciates its motor vans at 10% per annum on cost of each month of ownership.

You are required to prepare:

- (i) the Motor Van Account for the years 2009 and 2010,

[illegible]

- (ii) the Provision for Depreciation Account for the years 2009 and 2010,

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. A vertical line runs down the left side, creating a margin. The paper appears to be from a notebook or a standard sheet of stationery. There are some minor dark specks and faint smudges scattered across the surface, particularly near the center and bottom. The lighting is even, though there's a slight gradient from top to bottom.

Centre Number

Candidate's Number

8

(iii) the Motor Van Disposal Account.

[4]

(c) The following account appeared in the books of C. William on 31 December 2011.

Stationery Account

2011		\$	2011		\$
Jan 1	Balance b/d (i)	500	Feb 25	ABC Ltd (iii)	700
30	ABC Ltd (ii)	3 500	Dec 31	Profit and Loss (v)	3 100
Jul 1	petty cash (iv)	200			
			31	Balance c/d (vi)	400
		<u>4 200</u>			<u>4 200</u>

You are required to give the meaning of each of the entries marked (i) to (iv) in the above Stationery Account.

[6]

- 3 (a) The following information was taken from the books of Mwanza Manufacturing Company:

Stocks, 1 January 2010:

Raw material	13 000
Work in progress	20 000
Finished goods	14 000

Sales of finished goods 150 000

Purchases of raw materials 67 000

Factory power 6 000

Manufacturing wages 12 000

Freight charged on raw material 3 000

Factory rent 4 000

Factory Supervisor's salary 5 000

Factory insurance 3 700

General factory expenses 1 300

Office and administration expenses 500

Selling and distribution expenses 700

Royalties 8 000

Stocks, 31 December 2010:

Raw material 25 000

Work-in-progress 15 000

Finished goods 24 000

Centre Number

Candidate's Number

10

You are required to prepare:

- (i) the Manufacturing Account for the year ended 31 December 201, showing clearly the cost of raw materials, prime cost and total cost of production,

For
Examiner
Use

[7]

[illegible]

- 7112/2 Specimen paper

12

State the effect of each of the above transactions on working capital.
For your answers use any of these words: **decrease, increase or no effect.**

[5]

- 4 (a) Thulani and Jabulani entered into partnership on 1 January 2010, to take over the business of H. Hunter.

The partners contributed \$26 000 each which was deposited into the business bank account.

The Balance Sheet (Statement of Financial Position) of H. Hunter as at 31 December 2009 is given below:

Fixed Asset (non-current)	\$	\$		\$	\$
Buildings	20 000		Capital	24 000	
Office equipment	2 400		Add Net Profit	16 600	
		22 400		40 600	
<u>Current Assets</u>			Less Drawings	10 000	
Stock (inventory)	6 400				30 600
Debtors (payables)	6 800		<u>Long term Liability</u> (non-current)		
Bank	1 800		Loan from F. Funny	4 000	
Cash	320		Current Liability		
		15 320	Creditors (payables)	3 120	
		37 720			37 720

All the assets and liabilities of Hunters business were taken over with the exception of Cash and bank.

(a)	Buildings	\$32 000
	Debtors (received)	\$6 320

(i) the journal entries to record the formation of partnership and purchase of the business;

[illegible]

[illegible]

(b) On 31 December 2010, the bank column of T. Hamandishe's Cash book showed a debit balance of \$15 000. The monthly Bank statement written up to 31 December 2010, showed a credit balance of \$13 100.

On checking the cashbook with the bank statement, it was discovered that the following transactions had not been entered in the cashbook:

Bank charges	\$3,000
--------------	---------

Credit transfer – ZIMRA refund of \$ 2 600 had been collected by the bank;

A further check revealed the following items:

- Cheques of \$5 400 had been entered in the cash book but had not been presented for payment.
- Cash and cheques amounting to \$6 90 had been paid into the bank but were not credited by the bank until 2 January 2011.

15

You are to prepare:

- (i) an updated cashbook;

[4]

- (ii) the Bank Reconciliation Statement as at 31 December 2010.

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NOVEMBER 2014

SPECIMEN PAPER 7112/2

1(a) Departmental trading profit and loss account for the year ended 31 December 2011

	FURNITURE			ELECTRICAL		
Sales			90000			85000
less Cost of sales						
opening stock		20000			8000	
Purchases	61000			50000		
add Rallage inwards	10000	71000		10000	60000	
		91000			68000	
less Drawings		-			(6000)	
		91000			62000	
less closing stock		(32000)			(18000)	
			(59000)			(44000)
Gross profit c/d			31000			41000
						31000
Gross profit b/d						72000
add other income: Discount received						2500
						74500
less expenses						
Insurance(note below)		(1800-600)			1200	
carriage outwards					5000	
wages and salaries		(18500+400)			18900	
general expenses					17000	
depreciation: Furniture					4000	
motor expenses					4800	
provision for bad debts					1000	(51900)
NET PROFIT						22600

[13marks]

NOTE: Insurance it has been paid six months in advance, thus $1800/18 = 100 \times 12$ months.

1(b) Statement of financial position(balance sheet) as at 31 December 2011

	COST	ACC DEP	NBV
Non-current assets			
Premises	120000	-	120000
Furniture(see note below)	40000	22000	18000
Motor Vehicles	60000	40800	19200
			157200
Current liabilities			
Inventory(stock)		50000	
Trade debtors	20000		
less provision for bad debts	(1000)	19000	
cash at bank		16200	
prepaid insurance		600	85800
TOTAL ASSETS			243000
EQUITY AND LIABILITIES			
Capital			198000
add Net profit			22600
			220600
less Drawings			(6000)
			214600
Current liabilities			
Trade creditors		28000	
Wages accrued		400	28400
TOTAL EQUITY AND LIABILITIES			243000

[12marks]

NOTE: Furniture had a provision for depreciation of \$18000.

2(a) wear and tear, time in use, obsolescence [2marks]

2(b) i

Motor van account					
dr			cr		
2009			2009		
Jan-1	Balance b/d	50000	Dec-31	Disposal	20000
	Bank	40000			
Jul-1	Reliable Motors Ltd	60000		Balance c/d	130000
		150000			150000
2010			2010		
Jan-1	Balance b/d	130000	Dec-31	Balance c/d	150000
April-1	Cash	20000			
		150000			150000
2011					
Jan-1	Balance b/d	150000			

[6marks]

(ii)

Provision for depreciation account					
dr			cr		
2009			2009		
Dec-31	Disposal	4000	Jan-1	Balance b/d	10000
Dec-31	Balance c/d	18000	Dec-31	profit and loss	12000
		22000			22000
2010			2010		
Dec-31	Balance c/d	32500	Jan-1	Balance b/d	18000
		32500	Dec-31	profit and loss	14500
					32500
			2011		
			Jan-1	Balance b/d	32500

[7marks]

(iii)

Motor van Disposal account					
2009			2009		
Dec-31	Motor van	20000	Dec-31	Provision for depreciation	4000
				Cash	10000
				Profit and loss	6000
		20000			20000

[4marks]

- (c) i Balance of stationery unused from the previous year brought forward [1]
 ii bought stationery on credit worth \$3500 from ABC Ltd [1]
 iii C William returned stationery worth \$700 to ABC Ltd [1]
 iv
 v stationery used during the year debited to the profit and loss account [1]
 vi balance of stationery unused at the end of the year [1]

3(a) Manufacturing account for the year ended 31 December 2010

Raw materials		
opening stock		13000
Purchases	67000	
add Freight charges	3000	70000
		83000
less Closing stock		(25000)
COST OF RAW MATERIALS CONSUMED		58000
add DIRECT COST		
Manufacturing wages	12000	
Royalties	8000	20000
PRIME COST		78000
add FACTORY OVERHEADS		
Factory rent	4000	
Factory supervisor's salary	5000	

Factory insurance	3700	
General factory expenses	1300	14000
		92000
add opening work in progress		20000
		112000
less closing work in progress		(15000)
PRODUCTION COST OF GOODS MANUFACTURED		97000

[7MARKS]

(II)

Trading account for the year ended 31 december 2011

sales		150000
less cost of sales		
opening stock	14000	
add production cost	97000	
	111000	
less closing stock	(24000)	
		(87000)
Gross profit		63000

[3marks]

- 3(b) i increase
 ii decrease
 iii no effect
 iv decrease
 v no effect
 [5marks]

4(a) i

Journal entries

	Debit \$	Credit \$
Bank	52000	
Capital : Thulan		26000
Jabulani		26000
Purchase consideration	50000	
Bank		50000
Buildings	12000	
Revaluation		12000
Revaluation	480	
Debtors		480
Goodwill(see note below)	10000	
Capital : Thulan		5000
Jabulani		5000

[10marks]

ii

opening balance sheet of the partnership

Non-current assets

Buildings		32000
Office equipment		2400
		32400

Intangible non-current assets

Goodwill		10000
		42400

Current Assets

Inventory(stock)	6400	
Debtors	6320	
Bank	2000	14720

59120

Equity and Liabilities

Capital: Thulan		31000
Jabulani		31000
		62000

less Drawings	(10000)
	52000
Non-current liabilities	
Loan from F.Funny	4000
Current liabilities	
Creditors	3120
	59120

[6marks]

Note: net assets of the business where \$40000 and the purchase consideration is \$50000, thus goodwill is \$10000

4(b)	dr	updated cash book		cr
	Balance b/d	15000	bank charges	3000
	ZIMRA	2600		
			balance c/d	14600
		17600		17600

[4marks]

Bank reconciliation statement as at 31 december 2010

Balance as per bank statement	13100
add Bank Lodgements(see note below)	6900
	20000
less unpresented cheques	(5400)
Balance as per cash book	14600

[5marks]



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS
PAPER 1 Multiple Choice

7112/1

NOVEMBER 2015 SESSION

1 hour 30 minutes

Additional materials:

Multiple Choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet.

Read very carefully the instructions on the answer sheet.

INFORMATION FOR CANDIDATES

Each correct answer will score **one** mark. A mark will **not** be deducted for a wrong answer.

Any rough working should be done in this booklet.

Calculators **may** be used.

This question paper consists of 11 printed pages and 1 blank page.

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[Turn over

- 1 An example of a personal account is
 - A capital account.
 - B machinery account.
 - C purchases account.
 - D stationery account.
- 2 The total of the sales returns journal is posted to the
 - A credit side of the returns inwards account.
 - B credit side of the returns outwards account.
 - C debit side of the returns inwards account.
 - D debit side of the returns outwards account.
- 3 Which document increases the amount owing on an invoice?
 - A credit note
 - B debit note
 - C receipt
 - D voucher
- 4 A document that shows the amount to be paid by a customer is a
 - A bank statement.
 - B cheque stub.
 - C credit note.
 - D statement of account.
- 5 Which is a computer software?
 - A monitor
 - B mouse
 - C pastel
 - D speaker
- 6 Which component of a computer manipulates accounting information?
 - A the central processing unit
 - B the input device
 - C the output device
 - D the visual display unit

7 A disadvantage of sole proprietorships is that

- A decision making is faster.
- B formation is easy.
- C owner enjoys all the profits.
- D there is unlimited liability.

8 Which items match?

	Subsidiary Book	Source Document
A	cash book	bank statement
B	general journal	cheque stub
C	petty cash book	receipt
D	sales returns journal	invoice

9 The double entry for the purchase of equipment on credit is

	Debit	Credit
A	creditor	equipment.
B	creditor	purchases.
C	equipment	creditor.
D	purchases	creditor.

10 The owner of a business took stock at selling price for own use.

Which account is credited?

- A capital account
- B drawings account
- C purchases account
- D sales account

11 Which item is revenue expenditure?

- A buying equipment for the business
- B cost of redecorating the manager's office
- C cost of new tyres for a new van
- D painting premises for the first time

12 Control accounts are prepared to

- A calculate credit sales.
- B correct errors.
- C locate errors.
- D prevent fraud.

13 The following information was provided by a manufacturer:

Raw materials:	\$	
Opening stock/inventory	3 000	
Purchases	91 000	91 000
Closing stock/inventory	5 000	5 000
Direct wages	50 000	99 000

What is the cost of raw materials consumed?

- A \$83 000
- B \$89 000
- C \$99 000
- D \$139 000

14 The following account was taken from the general ledger of a trader.

Sales ledger control account

2012	\$	2012	\$
Oct 1 Balance b/d	5 000	Oct 31 Bank	30 000
31 Sales	120 000	Returns inwards	4 000
Interest	1 000	Bad debts	12 000

The amount for debtors entered in the balance sheet on 31 October is

- A \$5 000.
- B \$80 000.
- C \$120 000.
- D \$126 000.

- 15 A cash payment of \$25 for insurance was entered correctly in the cash book but was posted as \$52 to the insurance account.

The journal entry to correct the error is

	debit	credit
A	cash account \$25	insurance account \$25.
B	insurance account \$25	cash account \$25.
C	insurance account \$27	suspense account \$27.
D	suspense account \$27	insurance account \$27.

- 16 Which item increases a bank statement balance?

- A dishonoured cheques
- B credit transfers
- C service fees
- D stop orders

- 17 Which items are used to update a cashbook?

- A bank lodgements and dishonoured cheques
- B credit transfers and unpresented cheques
- C dividends and standing orders
- D service fees and uncleared deposits

- 18 A cash book had an overdraft of \$2 000. The bank statement showed interest received of \$5 000. Unpresented cheques were \$7 000 and uncleared deposits totalled \$1 000.

The balance as per bank statement is

- A \$1 000 debit.
- B \$3 000 debit.
- C \$9 000 credit.
- D \$11 000 credit.

\$ 200
\$ 500
\$ 700
\$ 100
\$ 1100

- 19 A credit balance in the rent received account represents rent

- A not yet paid.
- B paid during the year.
- C received during the year.
- D received in advance.

- 20 A trader provided the following information:

	\$
Opening capital	11 000
Additional capital	5 000
Drawings	3 000
Closing capital	25 000

What was the net profit for the year?

- A \$6 000
- B \$12 000
- C \$17 000
- D \$23 000

- 21 What is the double entry for net profit?

	Debit	Credit
A	capital account	net profit
B	capital account	profit and loss account
C	net profit	capital account
D	profit and loss account	capital account

- 22 The following balances were extracted from the books of a trader on 31 December 2011.

	\$
Motor vehicles, cost	60 000 Debit
Provision for depreciation (01.01.11)	6 000 Credit

The motor vehicle was bought on 1 January 2009.

What is the depreciation charge on 31 December 2011 using the straight line method?

- A \$3 000
- B \$6 000
- C \$54 000
- D \$66 000

- 23 A trader created a provision for doubtful debts of 10% of debtors and a provision for discount allowed of 1% of good debtors.

Debtors at the end of the year were \$20 000.

The amount of net debtors was

- A \$17 800.
- B \$17 820.
- C \$18 000.
- D \$18 200.

- 24 The following information was provided by a trader.

	\$
Cost of sales	100 000
Total expenses	10 000
Net profit	40 000

What is the turnover?

- A \$50 000
- B \$110 000
- C \$140 000
- D \$150 000

- 25 Which transaction reduces working capital?

- A buying stock for cash
- B donating \$1 000 cash to charity
- C paying \$50 cash to creditors
- D selling stock to Farai on credit

- 26 Which error causes an increase in the gross profit?

- A closing stock/inventory undervalued
- B opening stock/inventory omitted from a trading account
- C purchases recorded before deduction of trade discount
- D sales invoices omitted from the sales journal

- 27 A business provided the following information.

	\$
Working capital	5 000
Owner's equity	12 000
Non-current/Fixed assets	15 000

What is the value of non-current/long-term liabilities?

- A \$8 000.
 - B \$17 000.
 - C \$20 000.
 - D \$22 000.
- 28 Money used to carry out the day-to-day operations of a business is referred to as
- A borrowed capital.
 - B capital employed.
 - C capital invested.
 - D working capital.
- 29 After preparing a balance sheet/statement of financial position, a cheque for \$60 was received from a debtor.
- The effect on the balance sheet/statement of financial position is
- A a decrease in debtors and a decrease in bank.
 - B a decrease in debtors and an increase in bank.
 - C an increase in debtors and a decrease in bank.
 - D an increase in debtors and an increase in bank.
- 30 At the end of a financial year, partners' drawings and share of profits are entered in the
- A appropriation account.
 - B capital account.
 - C current account.
 - D profit and loss account.

- 31 A business provides the following information.

	\$
Total fixed assets/Non-current assets	600 000
Current assets	250 000
Long term /Non-current liabilities	80 000
Current liabilities	100 000

What is the current ratio?

- A 0,8: 1
- B 1,3: 1
- C 2,4: 1
- D 2,5: 1

- 32 Which item is entered in a partnership profit and loss account?

- A interest on capital
- B interest on current account
- C interest on drawings
- D interest on loan

- 33 The excess of purchase price over net assets taken over is

- A a deficit.
- B a surplus.
- C goodwill.
- D profit.

- 34 The partnership agreement of Sharon and Stella shows that Sharon is entitled to an annual salary of \$10 000 and Stella \$6 000.

During the year ended 31 December 2013, Sharon was paid \$7 000.

What amount is credited to Sharon's current account?

- A \$3 000
- B \$7 000
- C \$10 000
- D \$17 000

- 35 The following ledger account was extracted from the books of a club.

Subscriptions account					
2012			2012		
Jan 1	Balance b/d	\$ 5 000	Jan 1	Balance b/d	\$ 2 000
Dec 31	Income and Expenditure	15 000	Dec 31	Bank	11 000
		<u>20 000</u>	Dec 31	Balance c/d	<u>7 000</u>
					<u>20 000</u>

What does the entry "balance c/d 7 000" on 31 December 2012 represent?

- A subscriptions for 2012
- B subscriptions in arrears
- C subscriptions paid in advance
- D subscriptions received in cash

- 36 A manufacturer had the following stocks/inventories:

- (i) raw materials
- (ii) finished goods
- (iii) work in progress

Which stocks are part of cost of production?

- A (i) and (ii)
- B (i) and (iii)
- C (i), (ii) and (iii)
- D (ii) and (iii)

- 37 The purpose of a receipts and payments account is to

- A calculate closing cash and bank balance.
- B calculate subscriptions for the year.
- C show fixed assets bought in previous years.
- D show profit from sale of refreshments.

- 38 A joint stock company had the following issued share capital.

200 000 10% preference shares at \$3 each.
An interim dividend of \$40 000 was paid.

The final dividend was

- A \$20 000.
B \$40 000.
C \$60 000.
D \$160 000.

$\frac{10}{100} \times 200\,000$
 $= 20\,000$

- 39 Which capital represents the actual cash received by a joint stock company?

- A authorised share capital
B called up share capital
C issued share capital
D paid up share capital

- 40 The account given below was taken from the books of a trader.

Capital Account			
2012	\$	2012	\$
Dec 31 Drawings	1 000	Jan 1 Balance b/d	5 000
31 Profit and Loss	2 000	Dec 31 Cash	4 000
31 Balance c/d	<u>6 000</u>		
	<u>9 000</u>		<u>9 000</u>

What does the entry "Profit and loss 2 000" represent?

- A additional capital introduced
B capital for the year
C net loss for the year
D net profit for the year

Not pass

NOVEMBER 2015

POSSIBLE ANSWERS 7112/1

1 A
2 C
3 D
4 D
5 C
6 A
7 D
8 C
9 C
10 C
11 B
12 C
13 B
14 B
15 D
16 C
17 B
18 C
19 D
20 B

21 D
22 B
23 B
24 D
25 B
26 C
27 A
28 D
29 B
30 C
31 D
32 D
33 C
34 C
35 B
36 B
37 A
38 C
39 D
40 C

Surname

Forename(s)

Centre Number

Candidate Number



For Performance Measurement

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL

General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTS

7112/2

PAPER 2

NOVEMBER 2015 SESSION

2 hours 30 minutes

Allow candidates 5 minutes to count pages before the examination.

TIME 2 hours 30 minutes

INSTRUCTIONS TO CANDIDATES

Check that all the pages are in the booklet and ask the invigilator for a replacement if there are duplicate or missing pages.

Write your name, (Surname and Forename(s)), Centre number and candidate number in the spaces provided at the top of this page and your Centre number and candidate number in the box at the top right corner of every page of this paper.

Answer **all** questions.

Write your answers in the spaces provided on the question paper.

Use **black or blue ball-point pen only**.

All calculations must be shown adjacent to the answer.

Calculators may be used.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

The businesses described in this paper are entirely fictitious.

This question paper consists of 20 printed pages.

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2

Answer all questions.

- 1 The following balances were extracted from the books of Chiedza Fashion Boutique after the preparation of the Trading Account on 31 December 2014.

Trial Balance as at 31 December 2014

	Debit \$	Credit \$
Gross profit		484 128
Capital		220 000
General expenses	5 036	
Drawings	81 784	
Trade payables (creditors)		28 800
Bank	4 980	
Inventory (stock) 31 December, 2014	20 000	
Trade receivables (Debtors)	79 200	
Provision for doubtful debts		3 200
Office furniture, at cost	12 000	
Provision for depreciation on office furniture, 1 January 2014:		6 000
Land and buildings, at cost	280 000	
Delivery vans, at cost	72 000	
Provision for depreciation on delivery vans (1 January 2014)		14 400
Discounts	24 060	9 920
Salaries and wages	148 000	
Insurance	4 108	
Rent and rates	30 400	
Carriage on sales	4 880	
	<u>766 448</u>	<u>766 448</u>

The following information was also available on 31 December 2014:

- (i) A sales invoice for \$5 800 to C. Chome, a debtor, was completely omitted from the books of accounts. Chiedza Fashion Boutique maintains a provision for doubtful debts at 5% of trade receivables (trade debtors).
- (ii) The following account appeared in the nominal ledger of Chiedza Fashion Boutique:

1

2014	\$	2014	\$
Dec 31 Bank	4 108	Dec 31 Income statement/	
Amount due c/d	<u>1 440</u>	Profit & Loss	<u>5 548</u>
	<u>5 548</u>		<u>5 548</u>

- (iii) On 31 December 2014, salaries and wages accrued amounted to \$1 600 and rent prepaid amounted to \$6 400.
- (iv) Depreciation was provided for as follows:
- office furniture at 5% per annum using the straight line method.
 - delivery vans at 20% per annum using the reducing balance method.

You are required to prepare

- (ii) the Income Statement (Profit and Loss Account) for Chiedza Fashion Boutique for the year ended 31 December 2014.

1 (a).

[10]

Candidate Number

--	--

5

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There is no handwriting or printed text on the paper.

Candidate Number

--	--

2

(2)

(i)

[7]

(ii) the Provision for Discounts Allowable Account for 2014.

[3]

2 (b) Prepare a Statement of Financial Position (Balance Sheet) extract showing how the trade receivables (debtors) appear on 31 December 2014.

[2]

(c) The following account appeared in the sales ledger of S. Saka, a trader.

T. Tasara

2012	\$	2012	\$
Dec 1 Balance b/d	1 800	Dec 05 Bank	1 700
18 Sales	2 400	Discount	100
		20 Returns	300
		28 Bank	1 050
		Bad debts	1 050
	<u>4 200</u>		<u>4 200</u>

(i) State the meaning of the entry on 1 December, 2012.

[1]

Centre Number	Candidate Number

10

- 2 (c) (ii) Following the headings shown below, write down the transaction represented by each of the entries from 5 to 28 December 2012, and the subsidiary book from which each of the entries was taken.

Date	Transaction	Subsidiary Book
2012		
December 5		
5		
18		
20		
28		
28		

[12]

- (a) Thokozani Sibanda runs a business with two departments, furniture and grocery. The following information was available on 31 December 2014:

	\$
Sales: Furniture	980 000
Grocery	1 070 000
Purchases: Furniture	500 000
Grocery	730 000
Customs duty: Furniture	50 000
Returns inwards: Furniture	80 000
Grocery	70 000
Carriage inwards: Furniture	26 000
Grocery	10 000
Inventory (stock) 1 January 2014: Furniture	60 000
Grocery	100 000
Inventory (stock), 31 December 2014: Furniture	36 000
Grocery	40 000

You are required to prepare the Departmental Trading Account for the year ended 31 December 2014, in columnar form, showing clearly the gross profit or loss for each department.

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There is no handwriting or printed text on the paper.

[10

[10]

- The following errors were discovered **after** the preparation of year-end final accounts.

- (i) Sale of an old delivery van for \$35 000 was credited in the Sales Account.
- (ii) The returns inwards balance was overstated by \$12 300.
- (iii) A machine bought for \$70 000 was debited to the Machine Repairs Account.
- (iv) Purchases of goods on credit from V. Vennon for \$45 000 was completely omitted from the books.
- (v) Discount received of \$18 000 was debited to Discount Allowed Account.

Candidate Number

1

3

(b)

You are required to prepare a statement of corrected net profit for the year ended 31 December 2014.

16

15	
----	--

14

- 3 (c) At 30 June 2014, Nomsa's cash book showed a debit balance of \$8 500. Her bank statement showed a credit balance of \$7 800 at the same date.

On comparing the cash book with the bank statement, the following differences were found:

- (i) Cheques totalling \$1 500 had not been presented at the bank.
- (ii) Deposits not credited by the bank totalled \$3 000.
- (iii) A cheque for \$800, deposited by Nelson, had been credited to Nomsa's Bank Account in error.

You are required to prepare a bank reconciliation statement to reconcile the cash book bank balance with the bank statement balance on 30 June 2014.

15

Centre Number

Candidate Number

15

- 3 (d) Distinguish between capital expenditure and revenue expenditure.

[4]

- 4 (a) The following information related to the business of K. Kudakwashe.

	\$
Inventory (stock), 1 January 2014	85 000
Sales	1 950 000
Returns inwards	150 000

Gross profit margin is $33\frac{1}{3}\%$ of turnover. Net profit is 20% of turnover. The rate of stock turn is 10 times.

Showing all your workings, calculate for the year ended 31 December 2014,

- (i) turnover,

[2]

Centre Number

Candidate Number

--	--

16

4 (a) (ii) gross profit,

[2]

(iii) cost of goods sold,

[2]

(iv) net profit,

[2]

Candidate Number

(v) expenses for running the business charged to Profit and Loss Account,

[2]

(vi) Inventory (stock) at 31 December 2014.

[3]

18.

- 4 (b) The share capital of Kwaedza Limited on 31 December 2013 was as follows:

Authorised share capital

1 000 000 Ordinary shares of \$1 each
 400 000 20% preference shares of \$2 each.

Issued share capital

800 000 Ordinary shares of \$1 each, fully paid.
 300 000 20% Preference shares of \$2 each, fully paid.

The following information is also available for the year ended
 31 December 2013:

	\$
General Reserve Account, 1 January 2013	900 000
Profit and loss Account, 1 January 2013	270 000
Net profit for the year	436 000
Interim dividend paid to ordinary shareholders	65 000

On 31 December 2013, the directors recommended the following:

1. the transfer of \$200 000 to General Reserve Account,
2. the payment of the preference share dividend for the year,
3. the payment of the final ordinary share dividend at 5 cents per share.

You are required to prepare:

- (i) the Profit and Loss Appropriation Account for the year ended
 31 December 2013,

4 (b) (i)

Centre Number

Candidate Number

20

4 (b) (ii) the Statement of Financial Position (Balance Sheet) extract as at 31 December 2013, showing clearly the details of the shareholders' funds.

[7]

NOVEMBER 2015

POSSIBLE ANSWERS 7112/2

1(a) Income statement for Chiedza Fashions Boutique for the year ended 31 december 2014

Gross profit		484128
sales (note below)		5800
adjusted gross profit		489928
add other income: Discount received		9920
		499848
less expenses:		
General expenses	5036	
Increase in provision for bad debts	1050	
Discount allowed	24060	
Salaries and wages (148000+1600)	149600	
Insurance	5548	
Rent (30400-6400)	24000	
Carriage on sales	4880	
Depreciation: Office furniture (5%x12000)	600	
Deliver Vans (72000-14400)x20%	11520	(226294)
NET PROFIT		273554

[10MARKS]

NOTE: This is an additional sales invoice which was omitted from the books

(b) Statement of financial position as at 31 december 2014

<u>Non-current assets</u>	COST	ACC DEP	NBV
Land and buildings	280000	-	280000
Office furniture	12000	6600	5400
Delivery Vans	72000	25920	46080
			331480
<u>Current assets</u>			
Inventory(stock)		20000	
Trade receivables(Debtors) (79200+5800)	85000		
less provision for bad debts (4250)	(4250)	80750	
Bank		4980	
Prepayments- Rent		6400	112130
TOTAL ASSETS			443610
<u>EQUITY AND LIABILITIES</u>			
Capital			220000
add net profit			273554
			493554
less Drawings			(81784)
			411770
<u>Current liabilities</u>			
Trade payables(creditors)		28800	
Accrued expenses: salaries and wages	1600		
Insurance	1440	3040	
			31840
TOTAL EQUITY AND LIABILITIES			443610

[15MARKS]

2(a) i

dr	Provision for bad debts account				cr
2012			2012		
Dec-31	balance c/d	10000	Dec-31	Profit and loss	10000
2013			2013		
			jan-1	balance b/d	10000

2014			2014		
			Jan-1	balance b/d	14000
Dec-31	profit and loss	3000			
	balance c/d	11000			
		14000			14000
			2015		
			Jan-1	balance b/d	11000

[7marks]

(ii)	dr	Provision for discount allowable account				cr
	2014		2014			
	Dec-31	balance c/d		profit an loss	<u>6270</u>	
		<u>6270</u>		2015		
			Jan-1	balance b/d		6270

[3marks]

2(b) Statement of financial position(extract) as at 31 december 2014

Current assets			
Account receivables		220000	
less Provision for bad debts	11000		
add Provision for discount allowable	6270	(17270)	202730

[2marks]

2 (c) i The balance owed by T Tasara to Saka brought forward from the previous year [1]

(ii)	Date	Transaction	subsidiary book
	2012		
	dec-5	T Tasara paid his/her amount in full settlement of his/her account by cheque, less discount of \$100	Cash book
	dec-5	discount allowed by S Saka of \$100	Cash book
	dec-18	S Saka has sold goods on credit to T Tasara worth \$2400	Sales journal
	dec-20	T Tasara has returned goods worth \$300	Sales returns and allowance journal
	dec-28	S Saka has received a cheque of \$1050 from T Tasara	Cash book
	dec-28	T Tasara's account was written of as bad debt	General journal

[12marks]

3(a) Thokozani' departmental trading account for the year ended 31 december 2014

	Furniture			Grocery		
Sales			980000			1070000
less Returns inwards			(80000)			(70000)
TURN OVER			900000			1000000
less Cost of sales						
Opening stock		60000			100000	
Purchases	500000			730000		
add Customs duty	50000			-		
Carriage inwards	26000	576000		10000	740000	
		636000			840000	
less Closing stock		(36000)			(40000)	
Cost of sales			(600000)			(800000)
GROSS PROFIT			300000			200000

[10marks]

3(b) statement of corrected net profit

profit before adjustments	369000
sale of delivery van	(35000)
Returns inwards overstated	12300
machine	70000
Purchases	(45000)
Discount received	36000
	<u>407300</u>

[6marks]

3 C Bank reconciliation statement

Balance as per cash book	8500
add Unpresented cheques	1500
	10000
less Uncredited cheques	(3000)
	7000
add Cheque credited in error	800
Balance as per cash book	7800

- 3(d) Capital expenditure incurs when the business spend money on buying non current assets or an expenditure which add value to the asset eg extention of building, installation cost of plant. Revenue expenditure incurred in business on running day to day basis eg cost of repairing motor vehicle , repairs of plant. Capital expenditure appears in the balance sheet whereas revenue expenditure appears in the income statement [4]

- 4(a) i Turnover= Sales- Returns Inwards (ii) Gross profit= Turn over-Cost of sales
 $= 1950000 - 150000$ $1/3 \times 1800000$
 $= \$1800000$ [2marks] $\$600000$ [2marks]

- (iii) Cost of goods sold= Turnover-gross profit (iv) Net profit= 20% of Turnover
 $= 1800000 - 600000$ $20\% \times 1800000$
 $= \$1200000$ [2marks] 360000 [2marks]

- (v) Expenses= Gross profit- Net profit (vi) Inventory at 31 december 2014
 $600000 - 360000$ rate of stock turn= cost of sales
 240000 [2marks] average stock

$$\frac{1200000}{85000 + a} = 2$$

$$a = 120000$$

$$240000 \times 2 - 85000 = 155000$$
 [3marks]

4(b) i profit and loss appropriation account for the year ended 31 december 2013

profit before interest		436000
Transfere to general reserves	200000	
dividends paid and proposed		
preference: -Final	120000	
Ordinary: -Interim	65000	
- Final	40000	(425000)
net profit for the year		11000
add Retained earnings b/d		270000
Retained earnings c/d		281000

[5marks]

b(ii) statement of financial position(balance sheet) extract as 31 december 2013

Authorised share capital

1000000 ordinary shares of \$1 each

400000 20% Preference shares of \$2 each

Issued share capital

800000 Ordinary shares of \$1 each, fully paid

300000 20% Preference shares of \$2 each. Fully paid

Reserves

general reserves

retained earnings

Total shareholders funds

	1000000
	800000
	1800000
	800000
	600000
	1400000
1100000	
281000	
	1381000
	2781000

[7marks]

